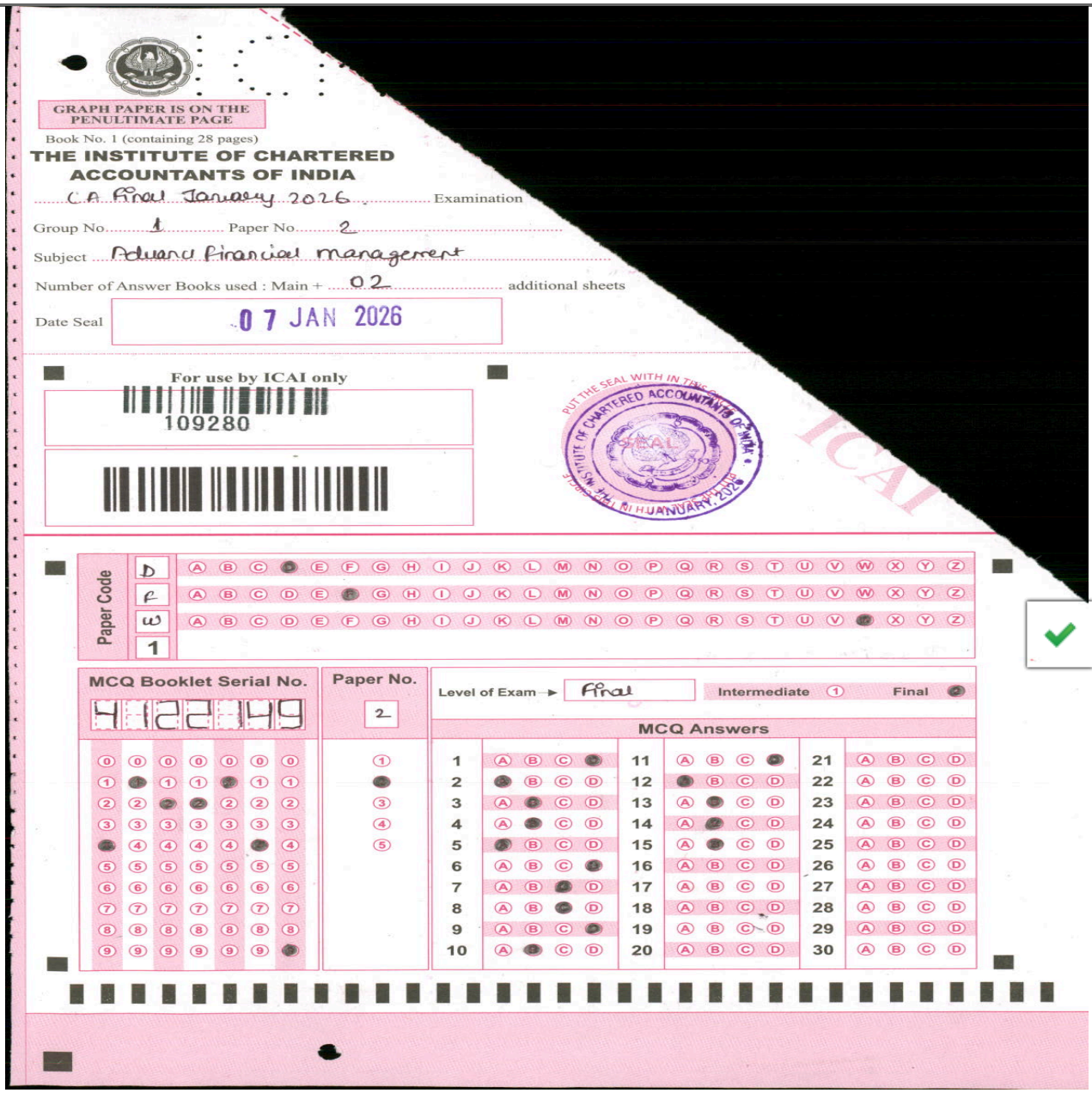
# The Institute of Chartered Accountants of India

**Code:** FN2AF109280 **Total Marks:** 70
**Subject :** 02 Advanced Financial Management **Marks Obtained :** 57



GRAPH PAPER IS ON THE PENULTIMATE PAGE

Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

CA Final January 2026 Examination

Group No. 1 Paper No. 2

Subject Advance Financial management

Number of Answer Books used : Main + 02 additional sheets

Date Seal 07 JAN 2026

For use by ICAI only

109280

Paper Code: D P W 1

MCQ Booklet Serial No. 4122049

Paper No. 2

Level of Exam → Final Intermediate ① Final ●

MCQ Answers

| | | | | | | | | |
|---|---|---|---|---|---|---|---|---|
| 1 | A B C ● | 11 | A B C ● | 21 | A B C D |
| 2 | ● B C D | 12 | ● B C D | 22 | A B C D |
| 3 | A ● C D | 13 | A ● C D | 23 | A B C D |
| 4 | A ● C D | 14 | A ● C D | 24 | A B C D |
| 5 | ● B C D | 15 | A ● C D | 25 | A B C D |
| 6 | A B C ● | 16 | A B C D | 26 | A B C D |
| 7 | A B ● D | 17 | A B C D | 27 | A B C D |
| 8 | A B ● D | 18 | A B C D | 28 | A B C D |
| 9 | A B C ● | 19 | A B C D | 29 | A B C D |
| 10 | A ● C D | 20 | A B C D | 30 | A B C D |

# The Institute of Chartered Accountants of India

**Code:** FN2AF109280 **Total Marks:** 70
**Subject :** 02 Advanced Financial Management **Marks Obtained :** 57

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OMR portion

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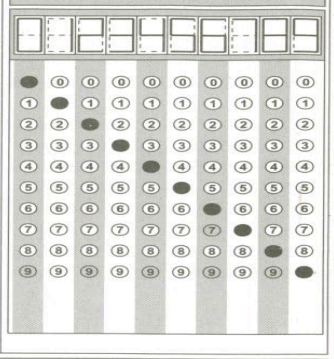
ully completed in one page or in a consecutive set of pages,

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6", etc., will tantamount to adoption of "unfair means"

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**Illustration for Filling the MCQ Booklet Serial No.**



IONS TO THE CANDIDATE FOR FILLING THE **MCQ ANSWER FIELDS**

**ncil to Darken the appropriate Circle.**

en the correct MCQ Booklet Serial No. as printed on your question booklet which will be taken as final for evaluation.

candidate fills in this information wrongly, Institute will not take any responsibility for rectifying the mistake.

arken the complete circle.

u want to change your Answer, erase the all darkened circle completely and make a fresh mark.

ease do NOT make any stray marks on the OMR cover page.

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7. Mark your answer only in the appropriate space against the number corresponding to the question.

**How to mark answers**




| Q. No. | To be ticked ✓ by the candidate against the Questions answered ( Descriptive Type ) | | |
|---|---|---|---|
| 1 | | 8 | |
| 2 | | 9 | |
| 3 | | 10 | |
| 4 | | 11 | |
| 5 | | 12 | |
| 6 | | 13 | |
| 7 | | 14 | |
| Total | | Total | |

03

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Solution 1(a)

i] (a) Amount invested by Investor = 25 lakh

Average return for 6 years = 16.8 %

Total return for 6 years = 16.8 × 6 yrs

= 100.8 %

Value of portfolio of investor on 31/3/25 = 25,00,000 + 100.80 %

= ₹ 50,20,000 ✓

Total units on 31/3/25 = Value of portfolio / NAV per unit

Units (31/3/25) = 50,20,000 / 110

= 45636.36 units. ✓

→ Bonus declared on 30/9/23 Ratio = 2 : 5

Total units pre bonus = Post units × 5/7

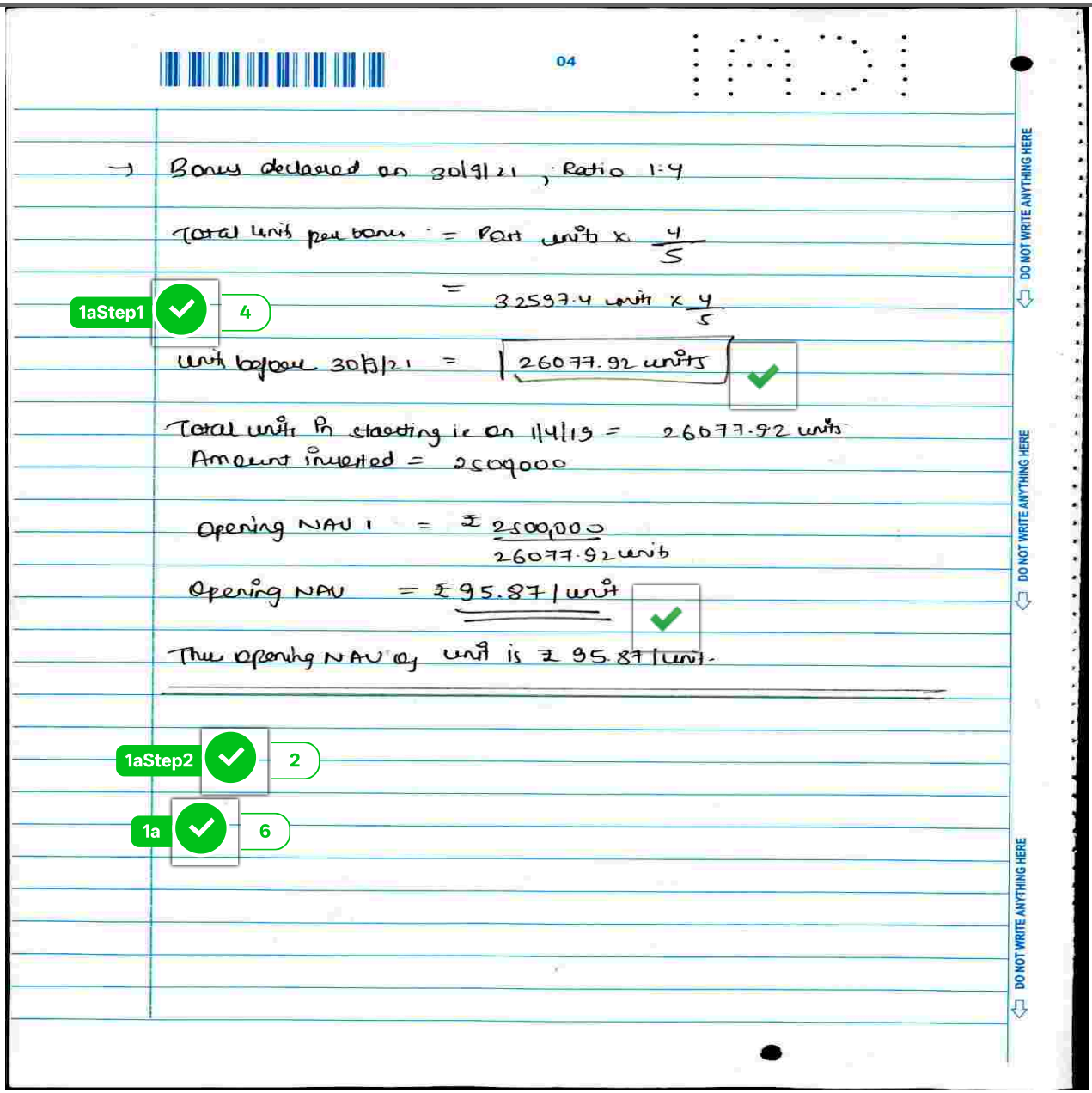
= 45636.36 × 5/7

Units before 30/9/23 = 32597.4 units ✓

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04

→ Bonus declared on 30/9/21, Ratio 1:4

Total units per bonus = Post units × 4/5

= 32597.4 units × 4/5

Units before 30/3/21 = 26077.92 units

Total units in starting ie on 1/4/19 = 26077.92 units

Amount invested = 2500000

Opening NAV = ₹ 2500000 / 26077.92 units

Opening NAV = ₹ 95.87 / unit

The opening NAV of unit is ₹ 95.87 / unit.

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1aStep1 4

1aStep2 2

1a 6

05

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Solution 1(b)

1) (b)

| Particulars | Before | After |
|---|---|---|
| Promoter holding (%) | 84% | 75% |
| Shares | 126 lakh shares | |
| PAT | ₹ 9.6 crore | |
| Free float market cap | ₹ 38.40 | |

Free float holding % = 100 - Promoter holding
= 100 - 84
= 16%

Total shares = 126/84% = 150 lakh shares

Total market cap = $\frac{38.40}{16\%}$ = ₹240 crore

Market price per share = $\frac{240}{1.5 \text{ crore}}$ = ₹160/share

EPS = 9.6 crore / 1.5 crore = ₹6.4/share

(i) PE Ratio existing = $\frac{MPS}{EPS} = \frac{160}{6.4}$ = 25 times

06

No of units to be issued to take promoter holding to 75%.

Total unit = 126 / 75% = 168 lakh shares

Total shares to be issued

| | Pre | Post | Bonus shares |
|---|---|---|---|
| Promoter | 126 lakh | 126 lakh | - |
| Other | 24 lakh | 42 lakh | 18 lakh |
| | 150 lakh | 168 lakh | |

(ii) Bonus ratio = 18 / 24 = 3:4 or 0.75 : 1

(iii) Market price after bonus

= Market capitalisation (to remain same) / Total shares

= 240 crore / 1.68 crore

= ₹ 142.8571 / share

(iv) Post Bonus Free float market cap

= Market cap × (1 - Promoter holding post)

= 240 crore × (1 - 75%)

= 240 crore × 25%

= 60 crore

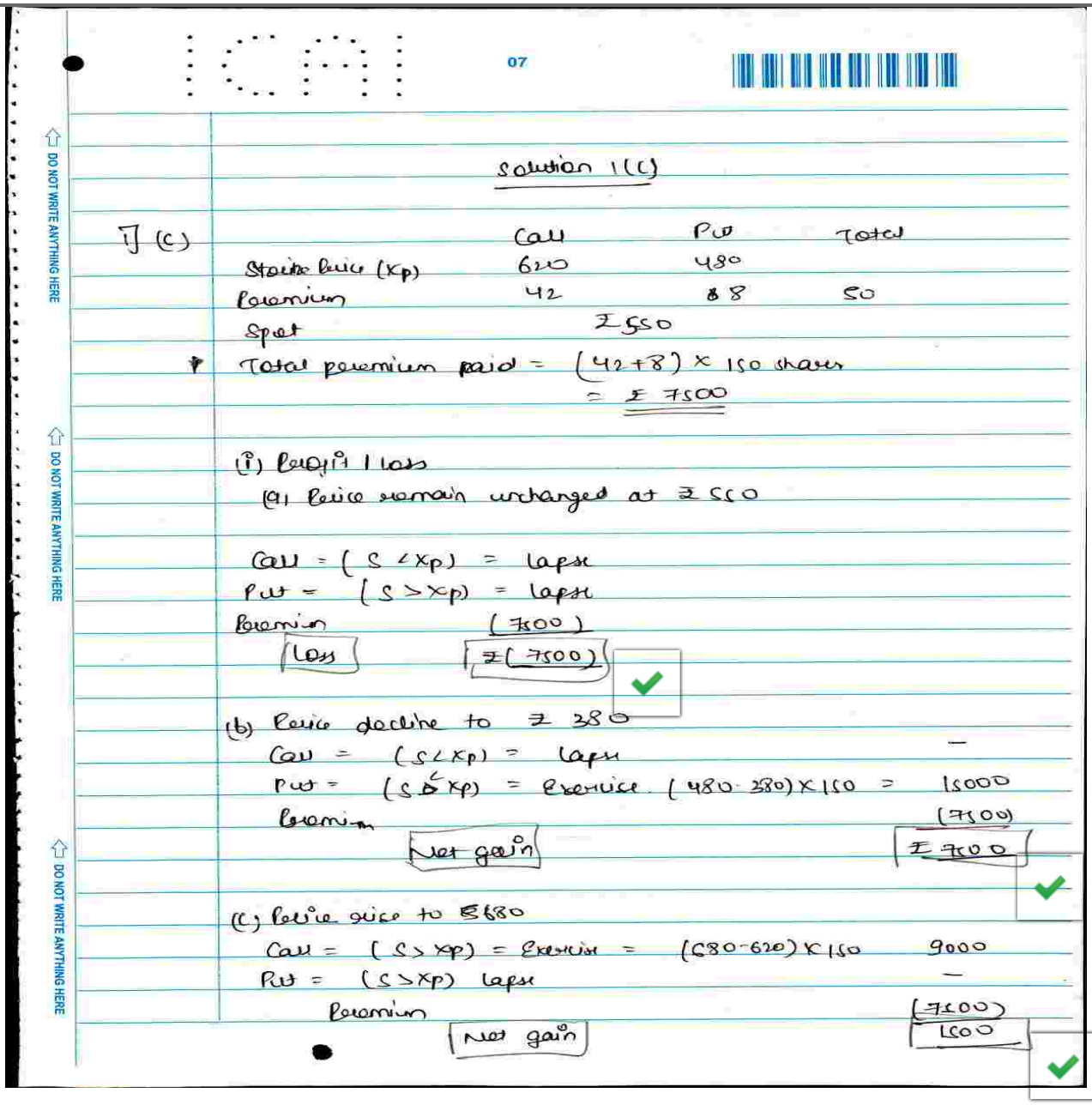
1bStep1 4

1b 4

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07

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Solution 1(c)

1] (c)

| | Call | Put | Total |
|---|---|---|---|
| Strike price (Xp) | 620 | 480 | |
| Premium | 42 | 8 | 50 |

Spot ₹550

Total premium paid = (42+8) × 150 shares
= ₹ 7500

(i) Profit / Loss

(a) Price remain unchanged at ₹ 550

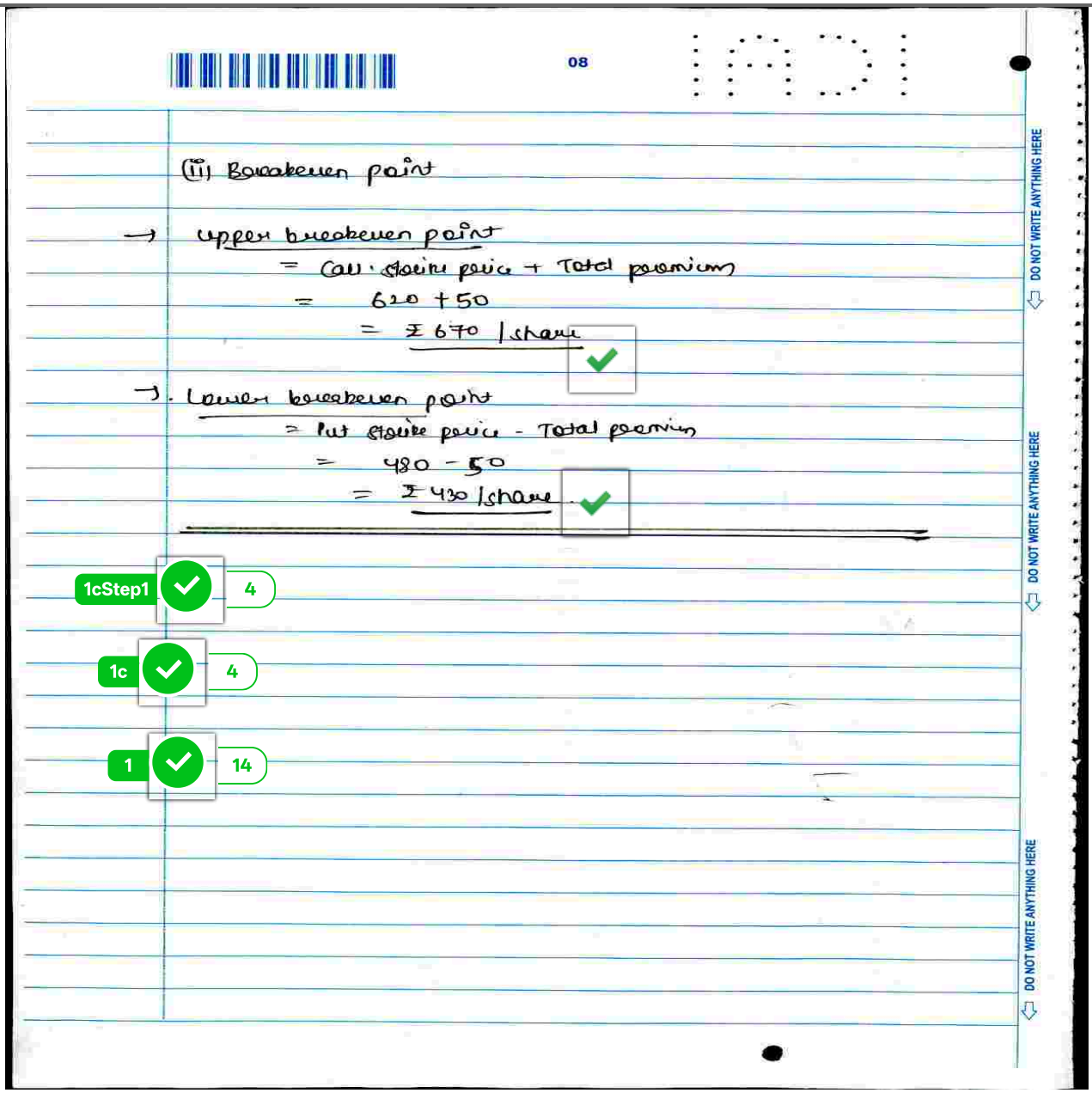
Call = (S < Xp) = lapse
Put = (S > Xp) = lapse
Premium (7500)
Loss ₹(7500) ✔

(b) Price decline to ₹ 380

Call = (S < Xp) = lapse —
Put = (S < Xp) = Exercise (480-380) × 150 = 15000
Premium (7500)
Net gain ₹ 7500 ✔

(c) Price rise to ₹680

Call = (S > Xp) = Exercise = (680-620) × 150 9000
Put = (S > Xp) lapse —
Premium (7500)
Net gain 1500 ✔



08

(iii) Breakeven point

→ Upper breakeven point
= Call strike price + Total premium
= 620 + 50
= ₹ 670 / share ✓

→ Lower breakeven point
= Put strike price - Total premium
= 480 - 50
= ₹ 430 / share ✓

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1cStep1 ✓ 4

1c ✓ 4

1 ✓ 14

09

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Solution 5 (b)

5] (b) Funds required = $147.75 lakh (net of expenses)
Initial issue cost = 1.5%

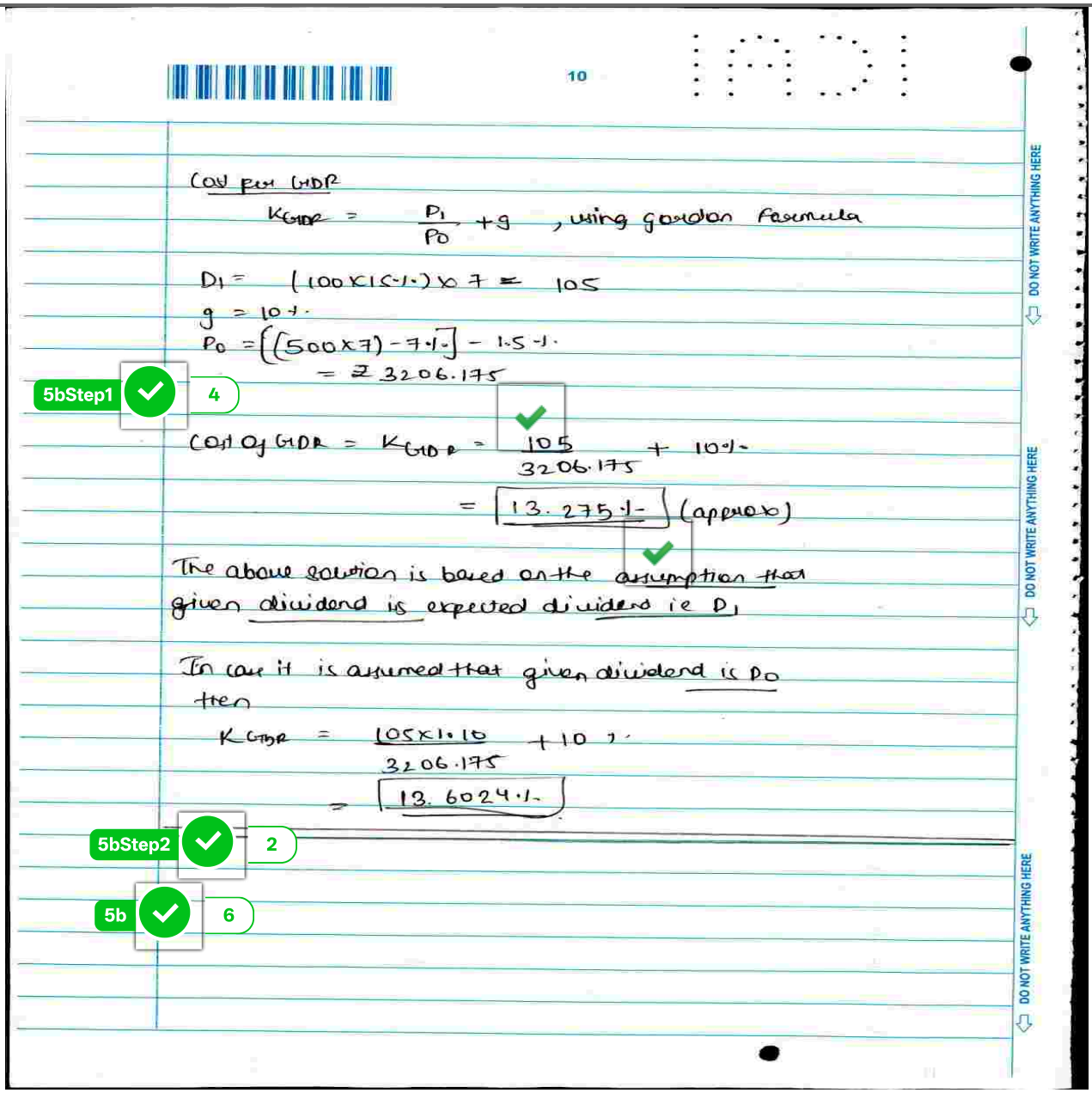
Total amount to be raised = $147.75 / (100 - 1.5%) = $150 lakh ✔

→ GDR
Underlying no of share = 7
MPS of share = 500
Discount = 7%
Exchange rate (spot) = ₹81.3750/$

Price per GDR = 500 x 7 - 7% / 81.3750
= $401 GDR ✔

Total no of GDR to be issued = Total funds required / Issue price / GDR
= 150 lakh / 40
= 3.75 lakh GDR

Thus total no of GDR required to be issued = 3.75 lakh ✔



10

Cost per GDR

$K_{GDR} = \frac{D_1}{P_0} + g$ , using gordon formula

$D_1 = (100 \times 15\%) \times 7 = 105$

$g = 10\%$

$P_0 = \{[(500 \times 7) - 7\%] - 1.5\%$

$= ₹ 3206.175$

5bStep1 4

Cost of GDR = $K_{GDR} = \frac{105}{3206.175} + 10\%$

$= 13.275\%$ (approx)

The above solution is based on the assumption that given dividend is expected dividend ie $D_1$

In case it is assumed that given dividend is $D_0$ then

$K_{GDR} = \frac{105 \times 1.10}{3206.175} + 10\%$

$= 13.602\%$

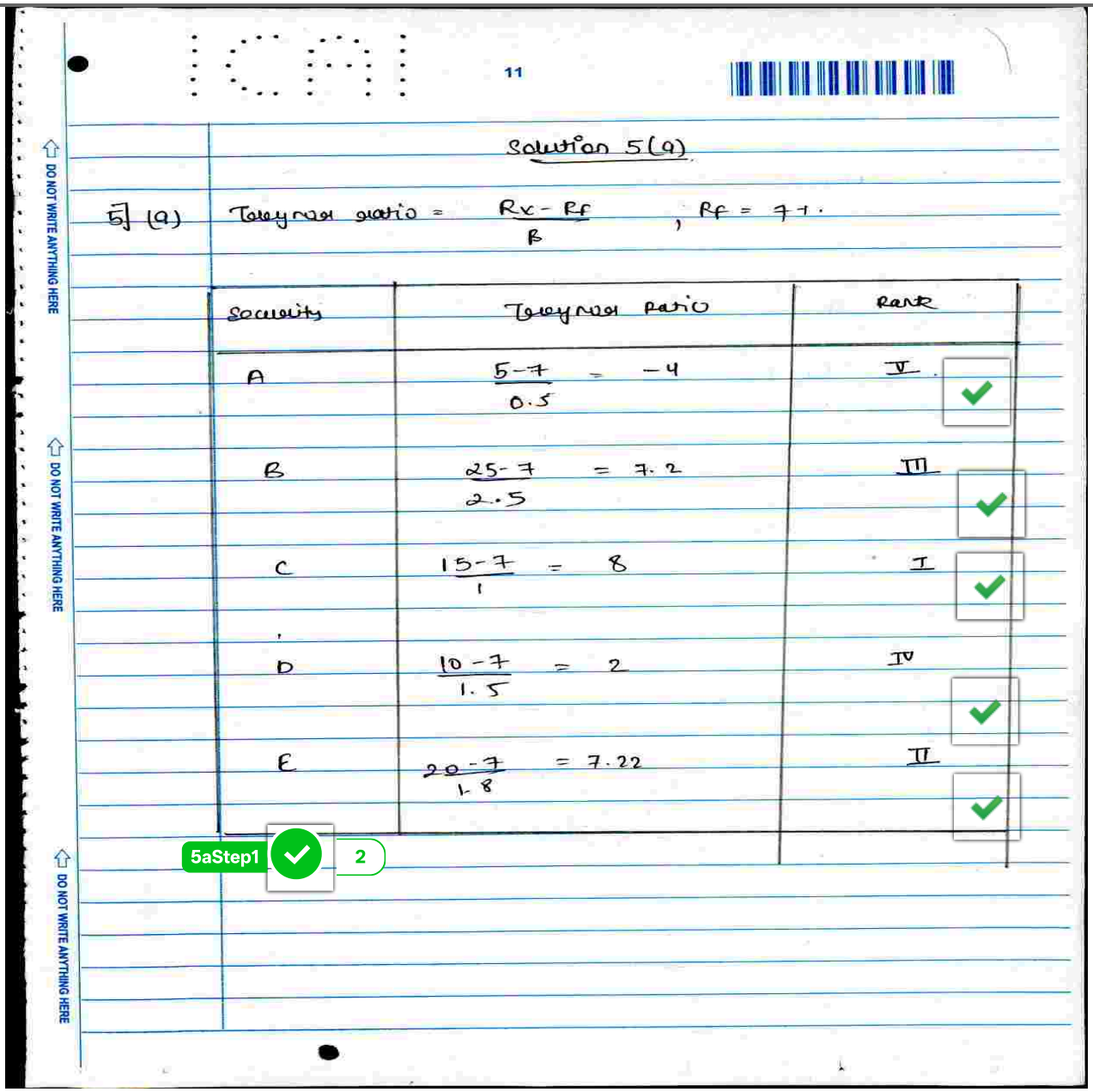
5bStep2 2

5b 6

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11

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Solution 5(a)

5] (a) Treynor ratio = $\frac{R_x - R_f}{\beta}$ , $R_f = 7\%$

| Security | Treynor Ratio | Rank |
|---|---|---|
| A | $\frac{5-7}{0.5} = -4$ | V |
| B | $\frac{25-7}{2.5} = 7.2$ | III |
| C | $\frac{15-7}{1} = 8$ | I |
| D | $\frac{10-7}{1.5} = 2$ | IV |
| E | $\frac{20-7}{1.8} = 7.22$ | II |

5aStep1 2

12

Cut off point = max value of

$$\frac{\sigma^2 m \times \text{cum}\left[\frac{Rx - Rf}{E^2 x}\right] \times \beta}{1 + \sigma^2 m \,\text{cum}\left[\frac{\beta^2}{E^2 x}\right]}$$

| Security | $R_x - R_f$ | $E^2x$ |
|---|---|---|
| A | −2 | 25 |
| B | 18 | 20 |
| C | 8 | |
| D | 3 | |
| E | 13 | |

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13

$\sigma^2 m = 25$

| Security (Arrange Rank) | Rx - Rf | $E^2x$ | B | $\frac{Rx-Rf}{E^2B} \times B$ (A) | Cum Aj (B) | $\sigma^2 x B$ (F) | $B^2/E^2x$ (C) | Cum C (D) | $D \times \sigma^2 m + 1$ (E) |
|---|---|---|---|---|---|---|---|---|---|
| C | 8 | 10 | 1 | 0.8 | 0.8 | 20 | 0.1 | 0.1 | 3.5 |
| E | 13 | 18 | 1.8 | 1.3 | 2.1 | 52.5 | 0.18 | 0.28 | 8. |
| B | 18 | 20 | 2.5 | 2.25 | 4.35 | 108.75 | 0.3125 | 0.5925 | 15.8125 |
| D | 3 | 10 | 1.5 | 0.45 | 4.80 | 120 | 0.225 | 0.8175 | 21.4375 |
| A | -2 | 25 | 0.5 | -0.04 | 4.76 | 119 | 0.001 | 0.8275 | 21.6875 |

Security Cut off point = F/E

C 5.7142 ✓

E 6.5625 ✓

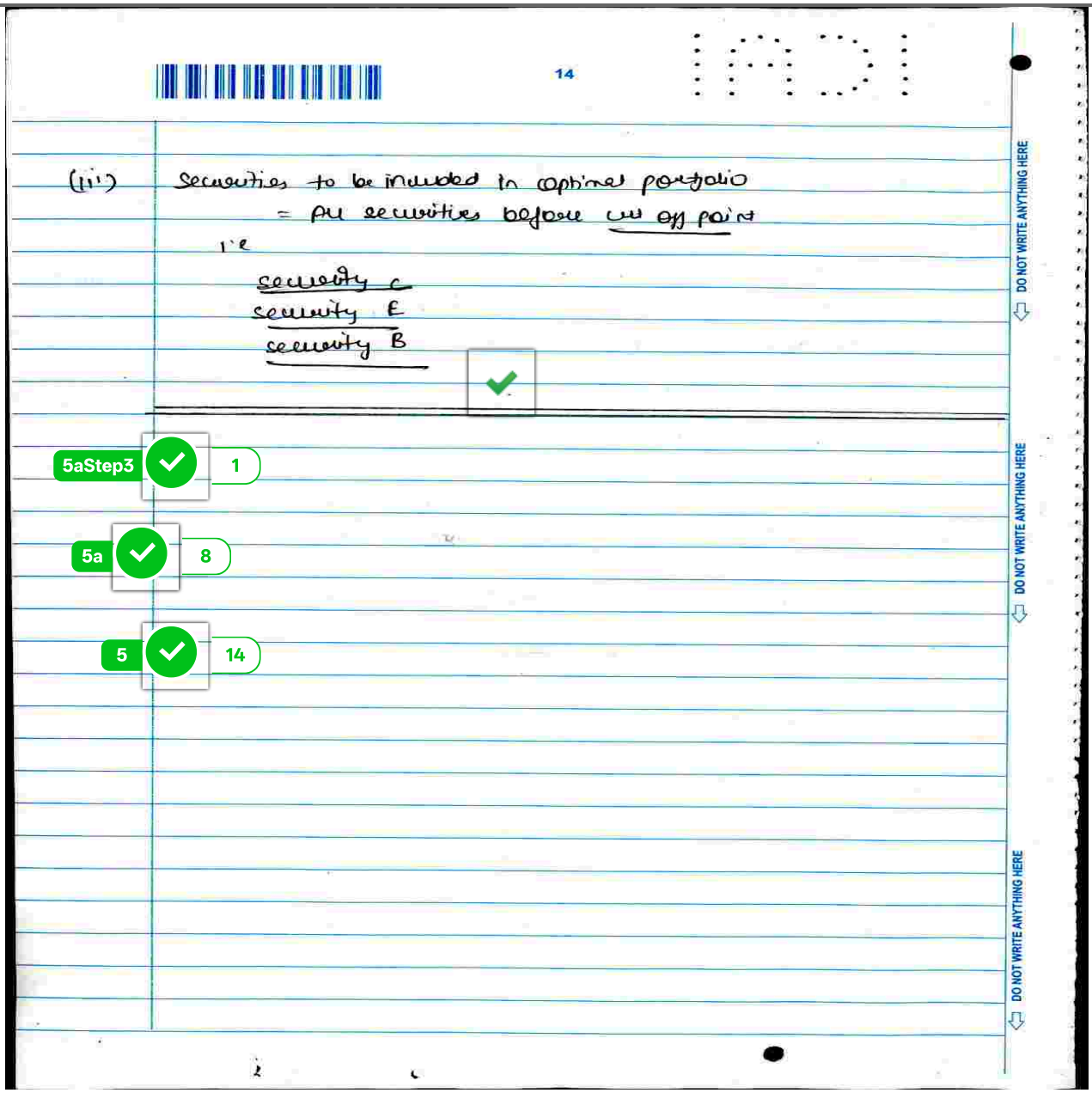
B 6.8774 ✓

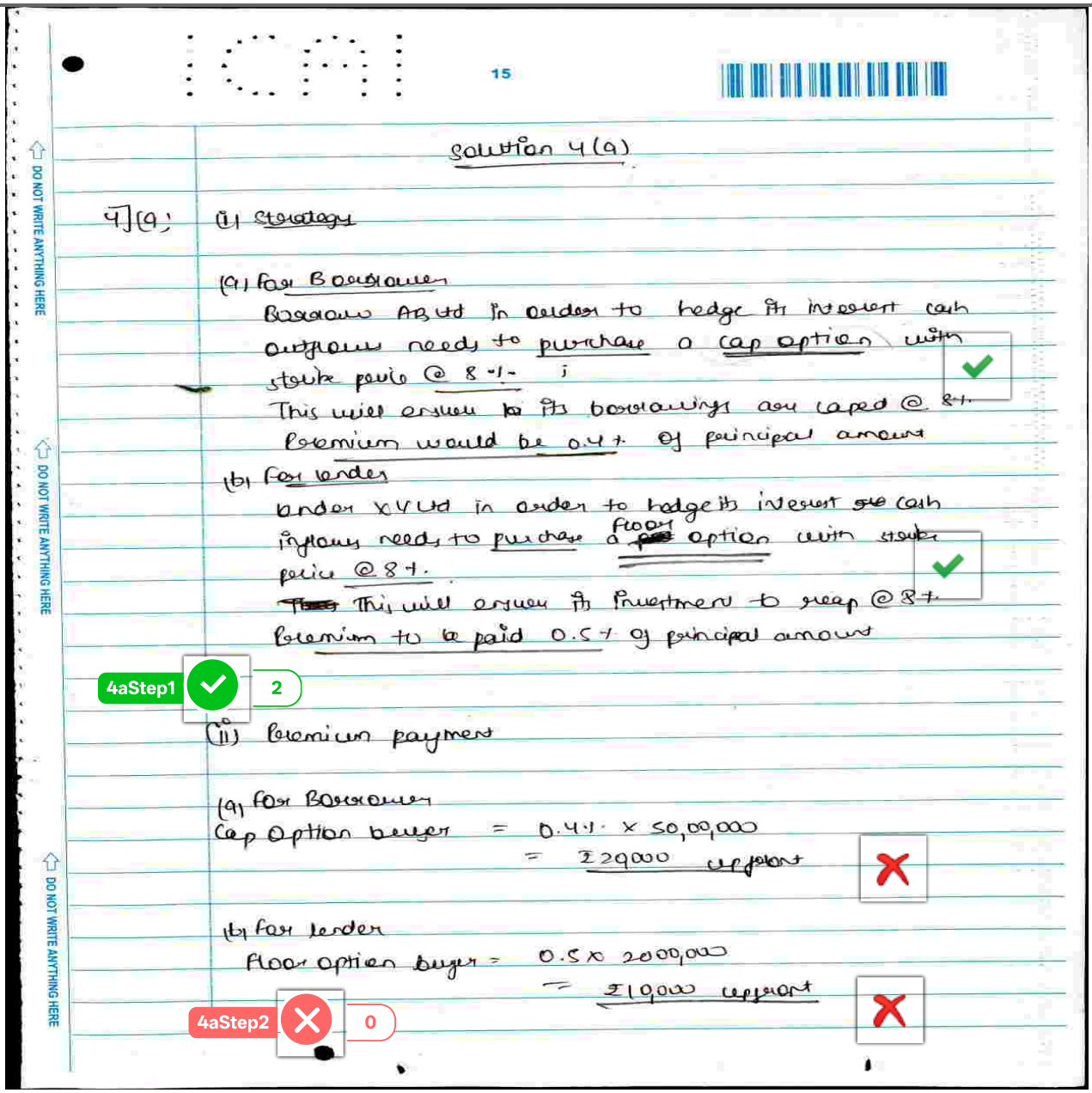
D 5.5976 ✓

A 5.4870 ✓

(ii) Cut off point = 6.8774 i.e. at security B ✓

5aStep2 ✓ 5


14
(iii) Securities to be included in optimal portfolio = All securities before cut off point
i.e
security C
security E
security B
5aStep3
1
5a
8
5
14
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15

Solution 4(a)

4](a): (i) Strategy

(a) For Borrower

Borrower AB Ltd in order to hedge its interest cash outflows needs to purchase a cap option with strike price @ 8 %. ✓

This will ensure to its borrowings are caped @ 8%.

Premium would be 0.4% of principal amount

(b) For lender

Lender XYZ Ltd in order to hedge its interest ~~on~~ cash inflows needs to purchase a floor option with strike price @ 8%. ✓

~~This~~ This will ensure its investment to reap @ 8%.

Premium to be paid 0.5% of principal amount

4aStep1 ✓ 2

(ii) Premium payment

(a) For Borrower

Cap Option buyer = 0.4% × 50,00,000

= ₹ 20000 upfront ✗

(b) For lender

Floor option buyer = 0.5% × 2000,000

= ₹ 10,000 upfront ✗

4aStep2 ✗ 0

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16

(iii) Net gain/loss due to hedging

(a) Borrower (PLR = 10%)

Interest on borrowing
= 10.5% × 5000000 × 6/12 (26,25,000)

Receipt from cap option
(10 - 8)% × 50,00,000 × 6/12 59000
Net Interest 2,13,000

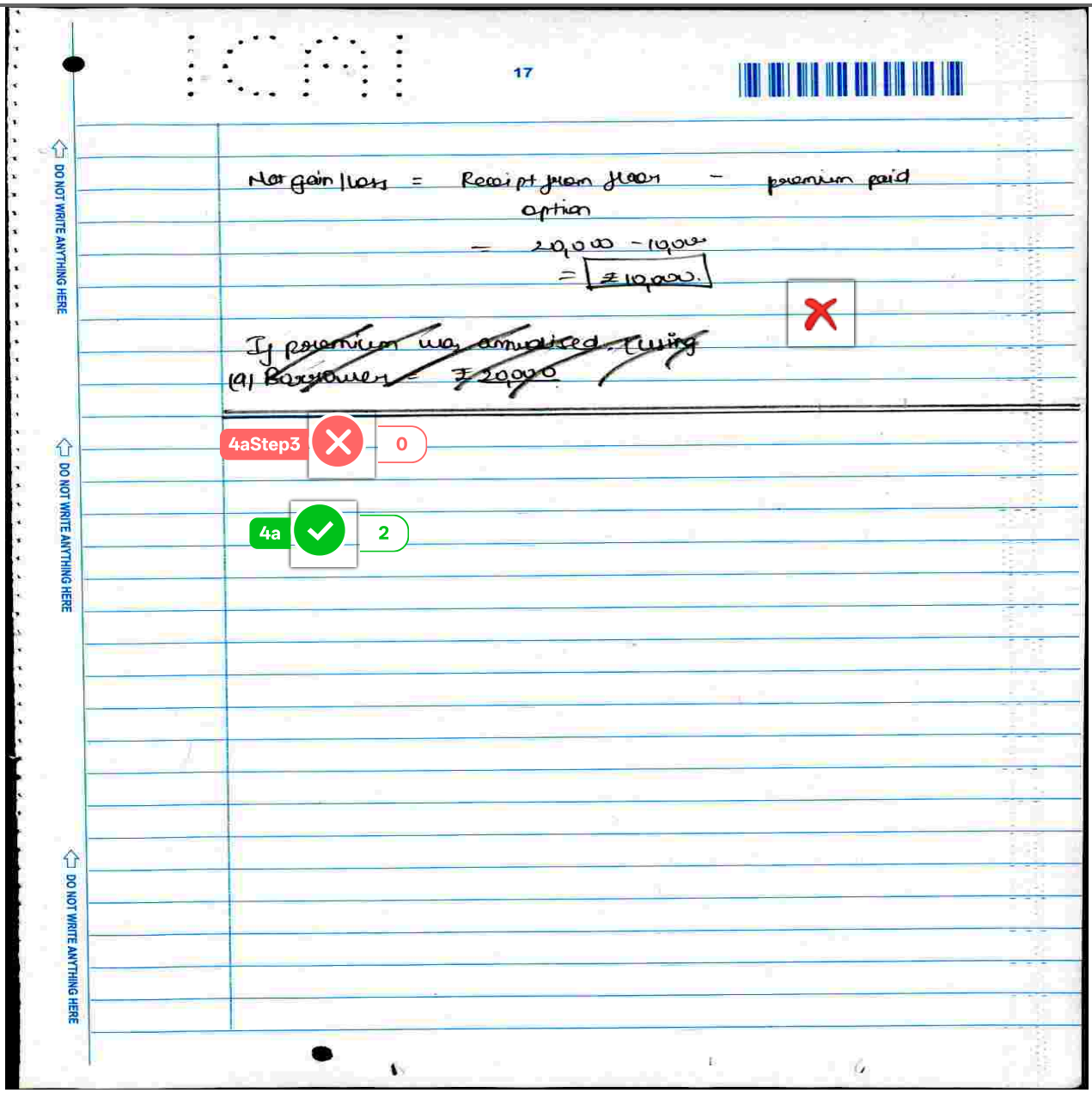
Net gain/loss = Receipt from cap option − premium paid
= 59000 − 29,000
= ₹ 30,000. ✗

(b) Lender (PLR = 6%)

Interest received
(5.5% × 2000000 × 6/12) 55000

Floor option receipt
(8 − 6)% × 20,00,000 × 6/12. 29,000
Net ~~Total~~ receipt/interest 71000 ✗

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17
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Net gain/loss = Receipt from floor option - premium paid
= 20,000 - 19,000
= ₹ 19,000.
If premium was amortised. Then
(a) Borrowers = ₹ 20,000
4aStep3 0
4a 2

18

Solution 4(b)

4](b). Profit after tax (PAT) = 84 lakh
Tax = 30%.
Net worth = ₹ 200 lakh
Debt value = ₹ 400 lakh
$R_f$ = 10%.
$R_m$ = 14%.
$\beta$ = 1 (uniform with market)

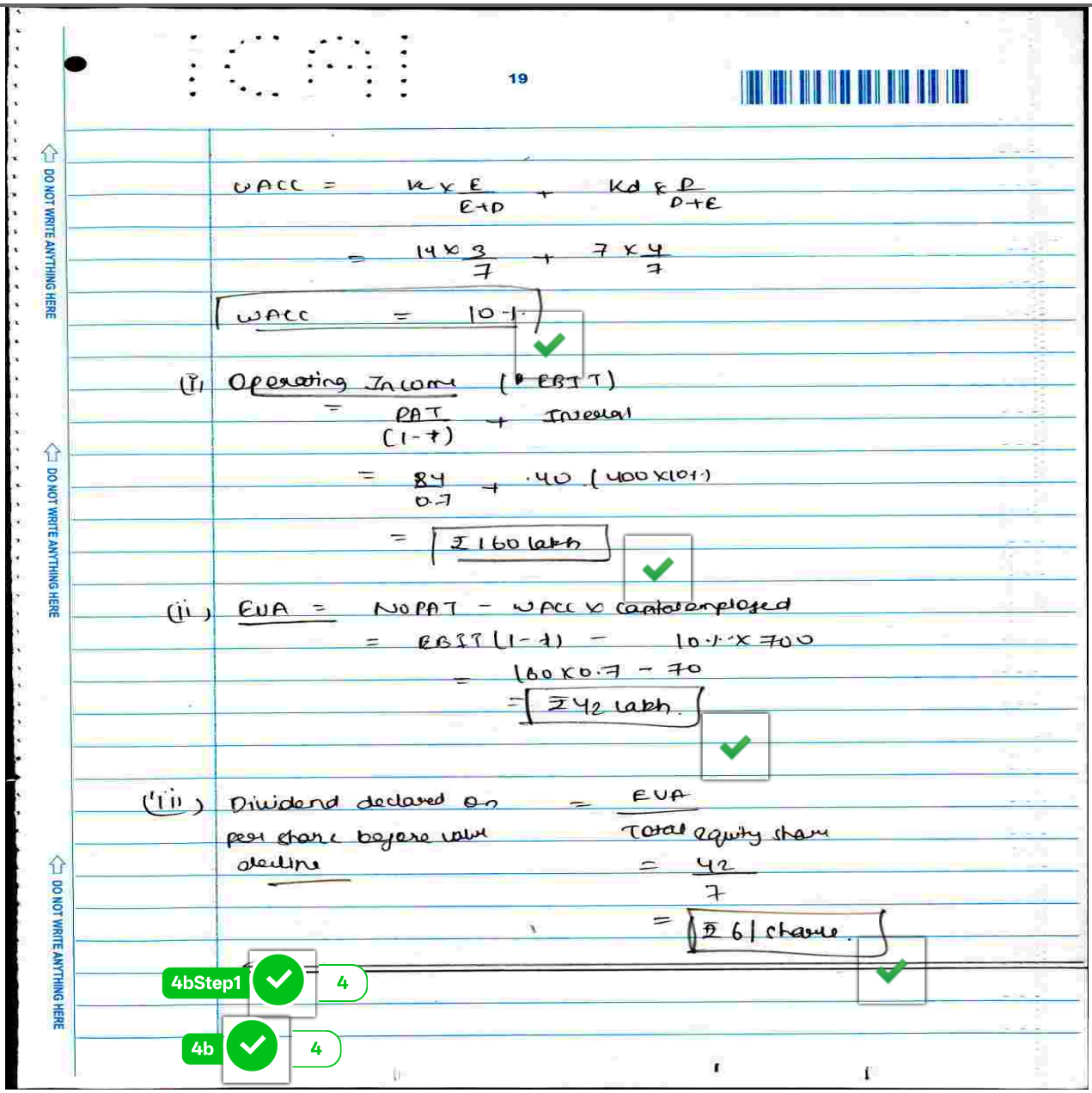
Equity (E) = Net worth + value of patent
= 200 + 100
= 300 lakh

Debt (D) = ₹ 400 lakh

$K_e$ | cost of equity, using CAPM
$K_e = R_f + (R_m - R_f) \times \beta$
= 10 + (14 - 10) × 1
= 14%.

$K_d$ = In absence of it is assumed to be same as $R_f$
= 10% · (1 − 0.3)
= 7%.

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19

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WACC = $\frac{K_e \times E}{E+D} + \frac{K_d \times D}{D+E}$

$= 14 \times \frac{3}{7} + 7 \times \frac{4}{7}$

WACC = 10·1

(i) Operating Income (EBIT)

$= \frac{PAT}{(1-t)} + \text{Interest}$

$= \frac{84}{0.7} + 40 \ (400 \times 10\%)$

= ₹ 160 lakh

(ii) EVA = NOPAT − WACC × Capital employed

= EBIT (1−t) − 10·1% × 700

= 160 × 0·7 − 70

= ₹ 42 lakh.

(iii) Dividend declared on per share before value dealing = $\frac{EVA}{\text{Total equity share}}$

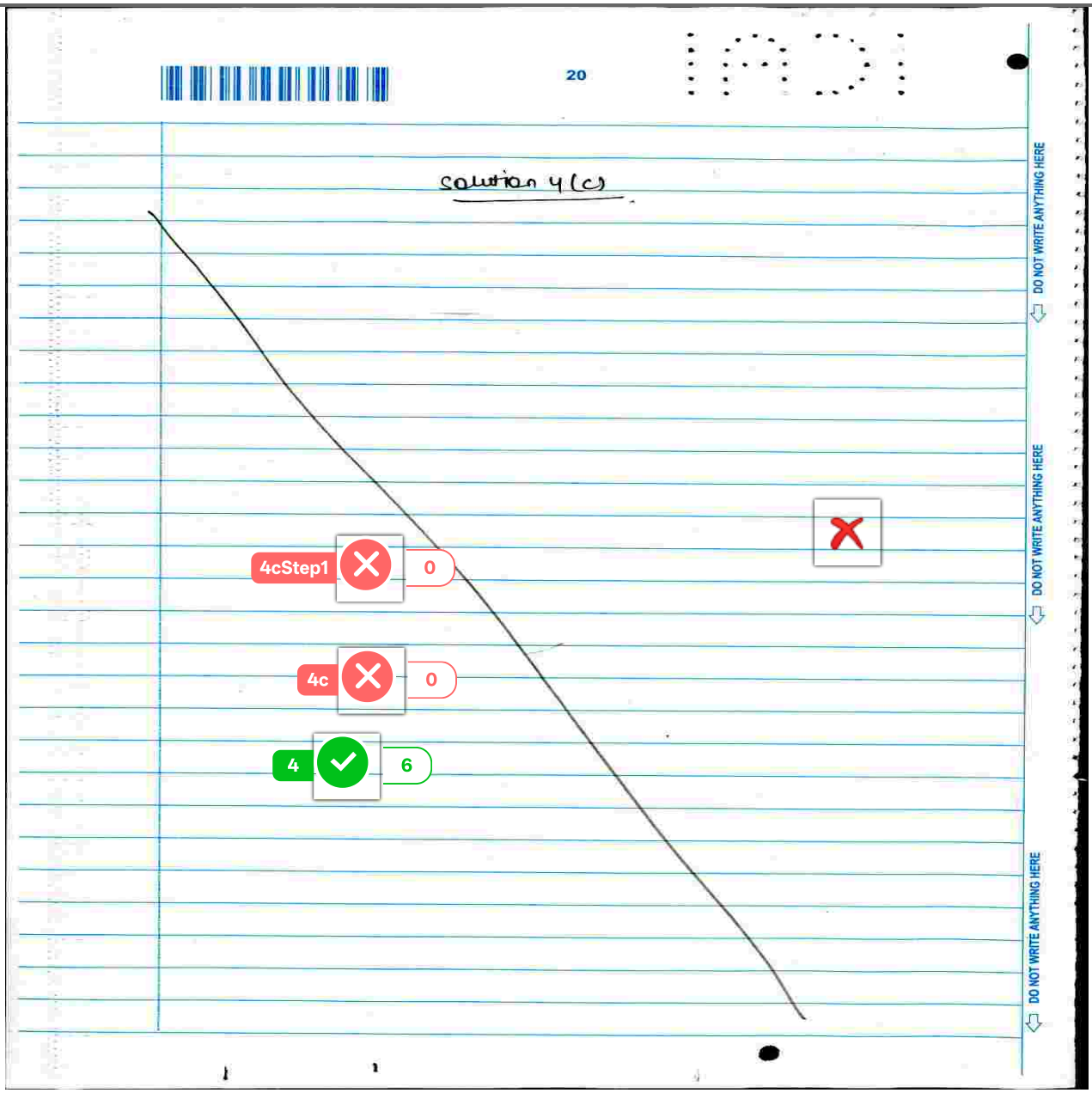
$= \frac{42}{7}$

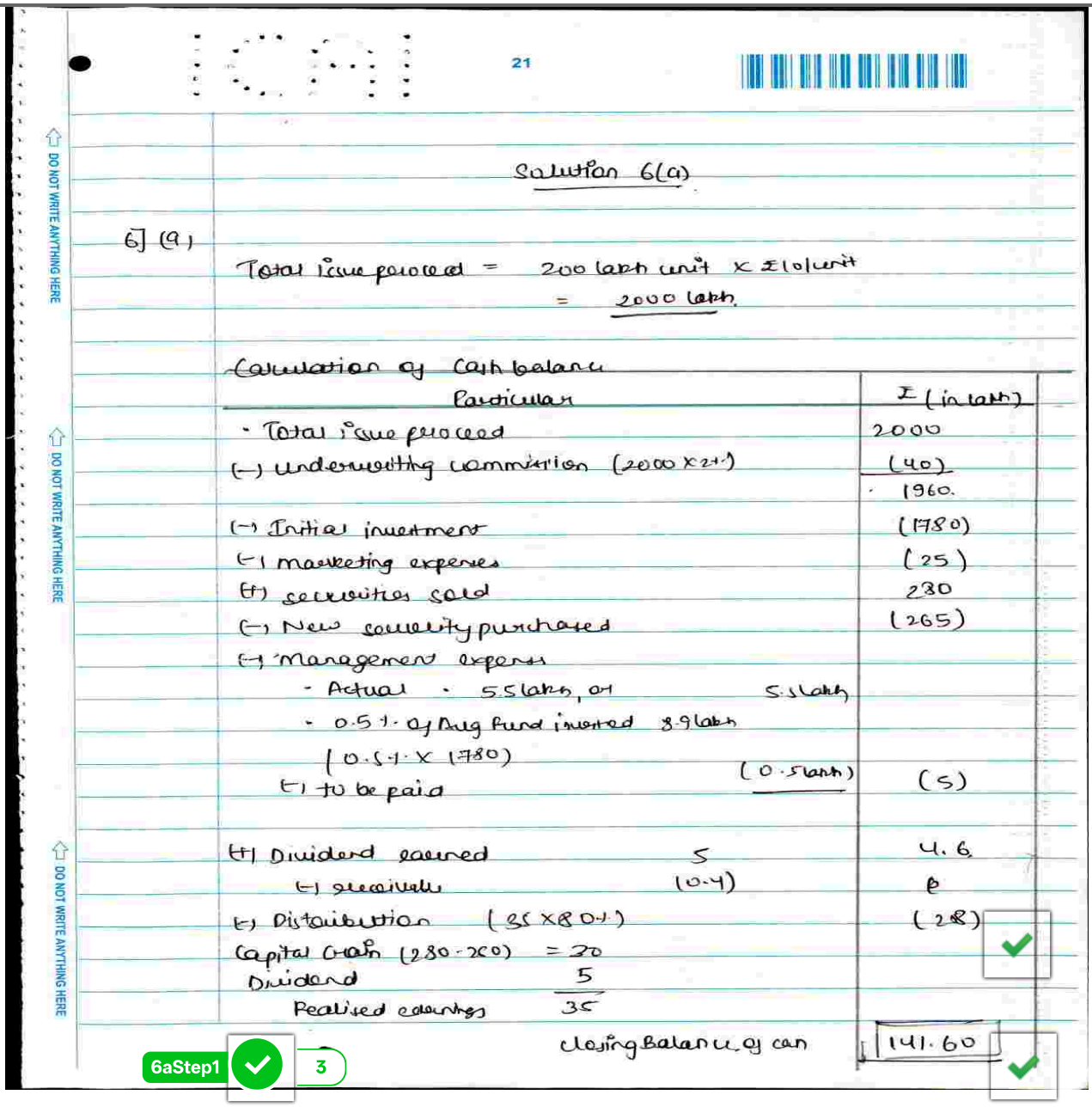
= ₹ 6 / share.

4bStep1 4

4b 4

| | | | |
|---|---|---|---|
| **Code:** | **FN2AF109280** | **Total Marks:** | **70** |
| **Subject :** | **02 Advanced Financial Management** | **Marks Obtained :** | **57** |





21

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Solution 6(a)

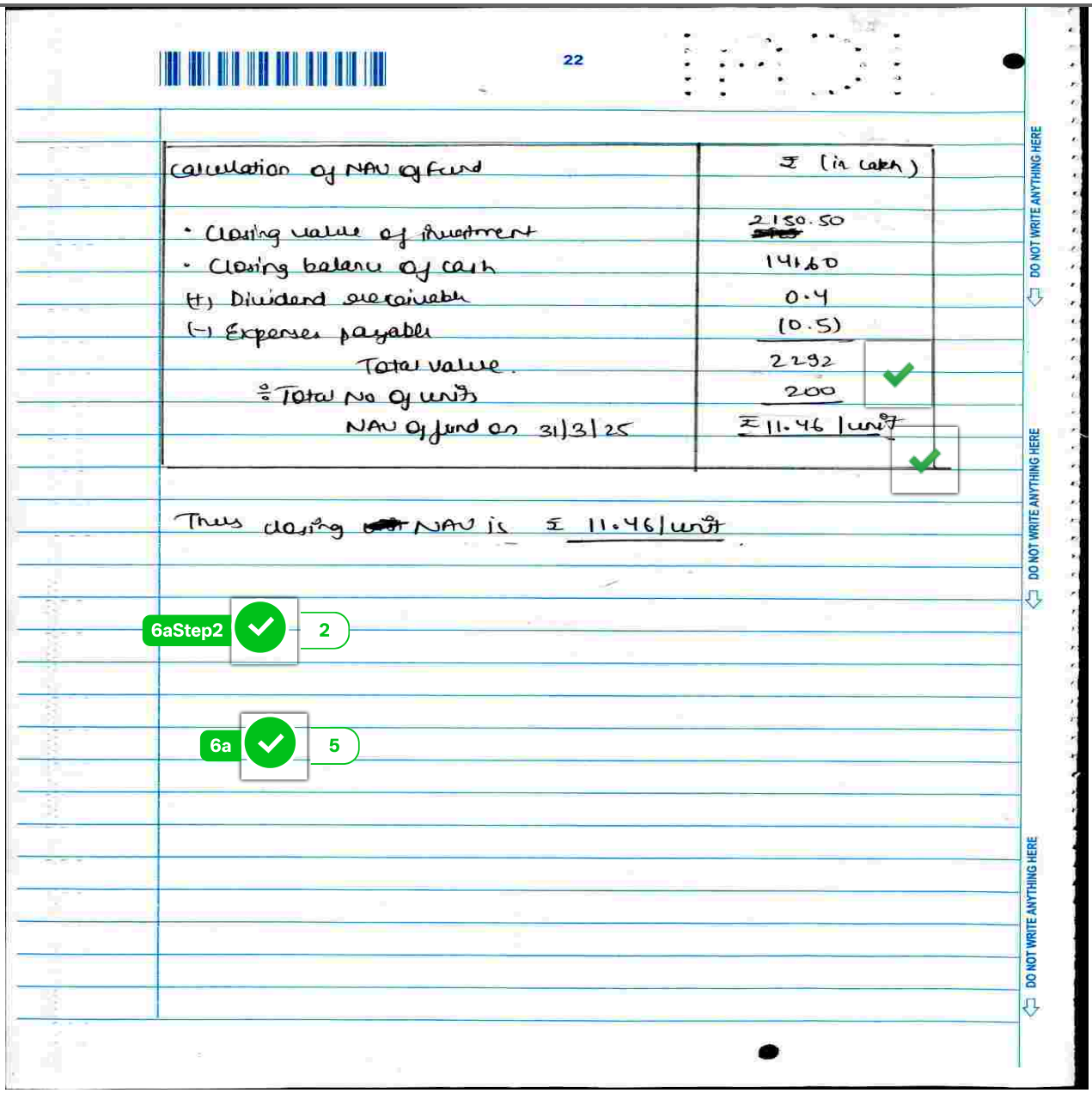
6] (a)

Total issue proceed = 200 lakh unit × ₹10/unit
= 2000 lakh

Calculation of Cash balance

| Particular | ₹ (in lakh) |
|---|---|
| • Total issue proceed | 2000 |
| (–) underwriting commission (2000 × 2%) | (40) |
| | 1960. |
| (–) Initial investment | (1780) |
| (–) marketing expenses | (25) |
| (+) securities sold | 230 |
| (–) New security purchased | (265) |
| (–) Management expens<br>• Actual • 5.5 lakh, or 5.5 lakh<br>• 0.5% of Avg fund invested 8.9 lakh<br>(0.5% × 1780)<br>(–) to be paid (0.5 lakh) | (5) |
| (+) Dividend earned 5<br>(–) securities (0.4)<br>(–) Distribution (35 × 80%) | 4.6<br>P<br>(28) |
| Capital Gain (280 - 200) = 20<br>Dividend 5<br>Realised earnings 35 | |
| closing Balance of can | 141.60 |

6aStep1 3



22

| Calculation of NAV of Fund | ₹ (in Lakh) |
|---|---|
| • Closing value of Investment | 2150.50 |
| • Closing balance of cash | 141.60 |
| (+) Dividend receivable | 0.4 |
| (−) Expenses payable | (0.5) |
| Total value | 2292 |
| ÷ Total No of units | 200 |
| NAV of fund on 31/3/25 | ₹ 11.46 / unit |

Thus closing NAV is ₹ 11.46/unit

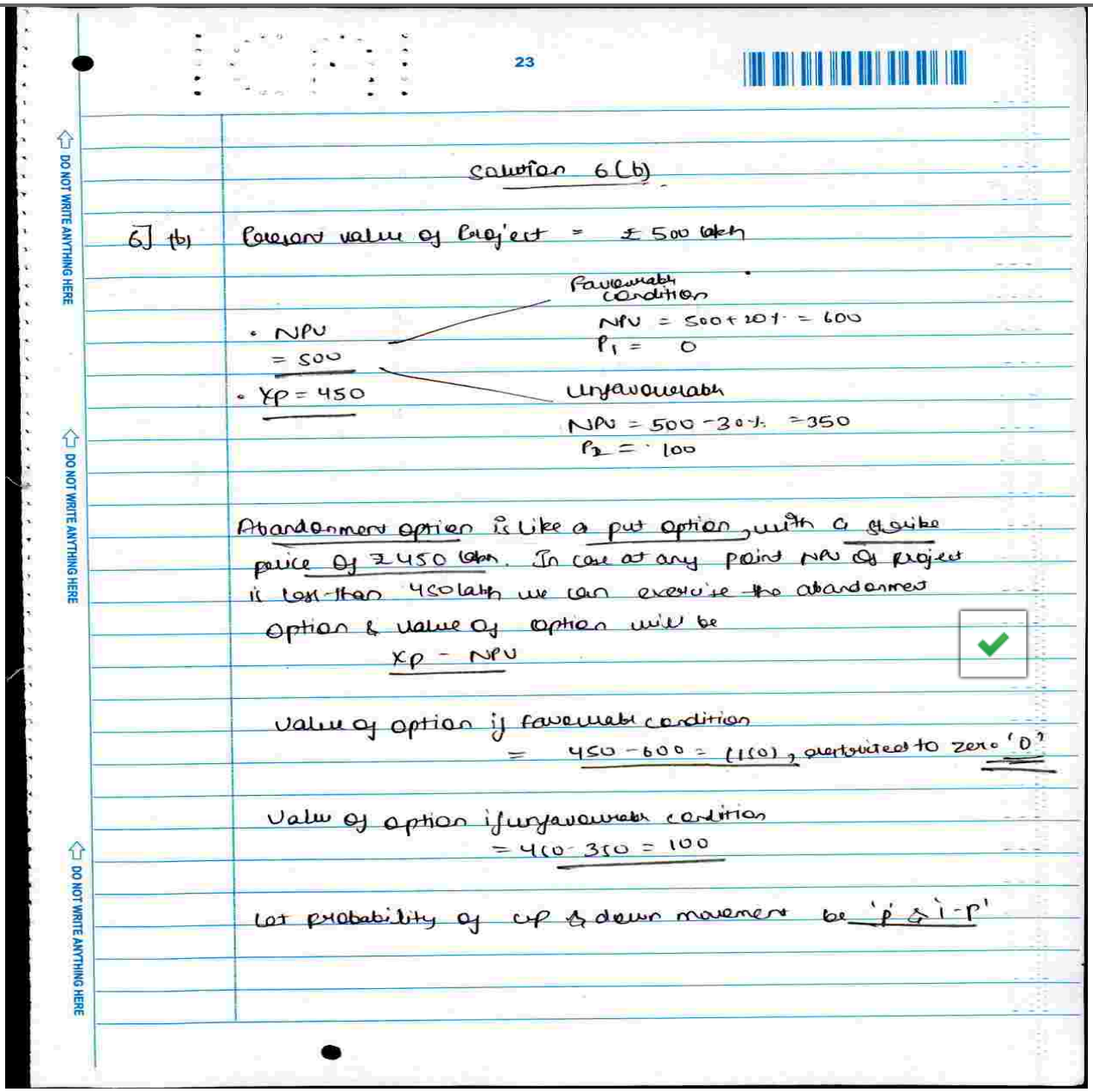
6aStep2 2

6a 5

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23

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Solution 6(b)

6] (b) Present value of Project = ₹ 500 lakh

- NPV = 500
- Xp = 450

Favourable condition
NPV = 500 + 20% = 600
$P_1$ = 0

Unfavourable
NPV = 500 − 30% = 350
$P_2$ = 100

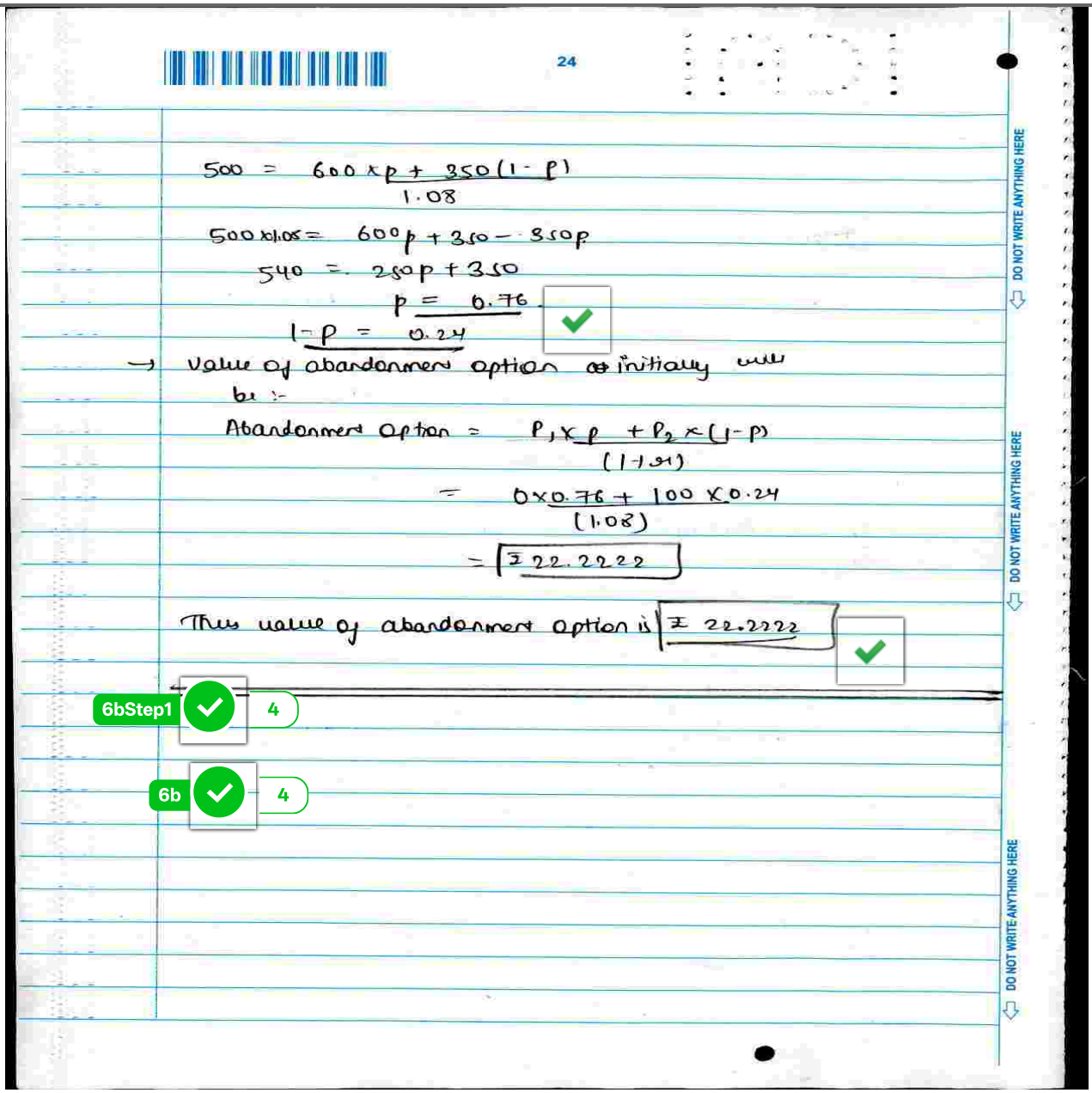
Abandonment option is like a put option with a strike price of ₹450 lakh. In case at any point NPV of project is less than 450 lakh we can exercise the abandonment option & value of option will be

Xp − NPV

Value of option if favourable condition
= 450 − 600 = (150), shortcircuited to zero '0'

Value of option if unfavourable condition
= 450 − 350 = 100

Let probability of up & down movement be 'p' & '1−p'



24

$$500 = \frac{600 \times p + 350(1-p)}{1.08}$$

$500 \times 1.08 = 600p + 350 - 350p$

$540 = 250p + 350$

$p = 0.76$

$1-p = 0.24$

→ Value of abandonment option at initially will be :-

Abandonment option = $\frac{P_1 \times p + P_2 \times (1-p)}{(1+r)}$

$= \frac{0 \times 0.76 + 100 \times 0.24}{(1.08)}$

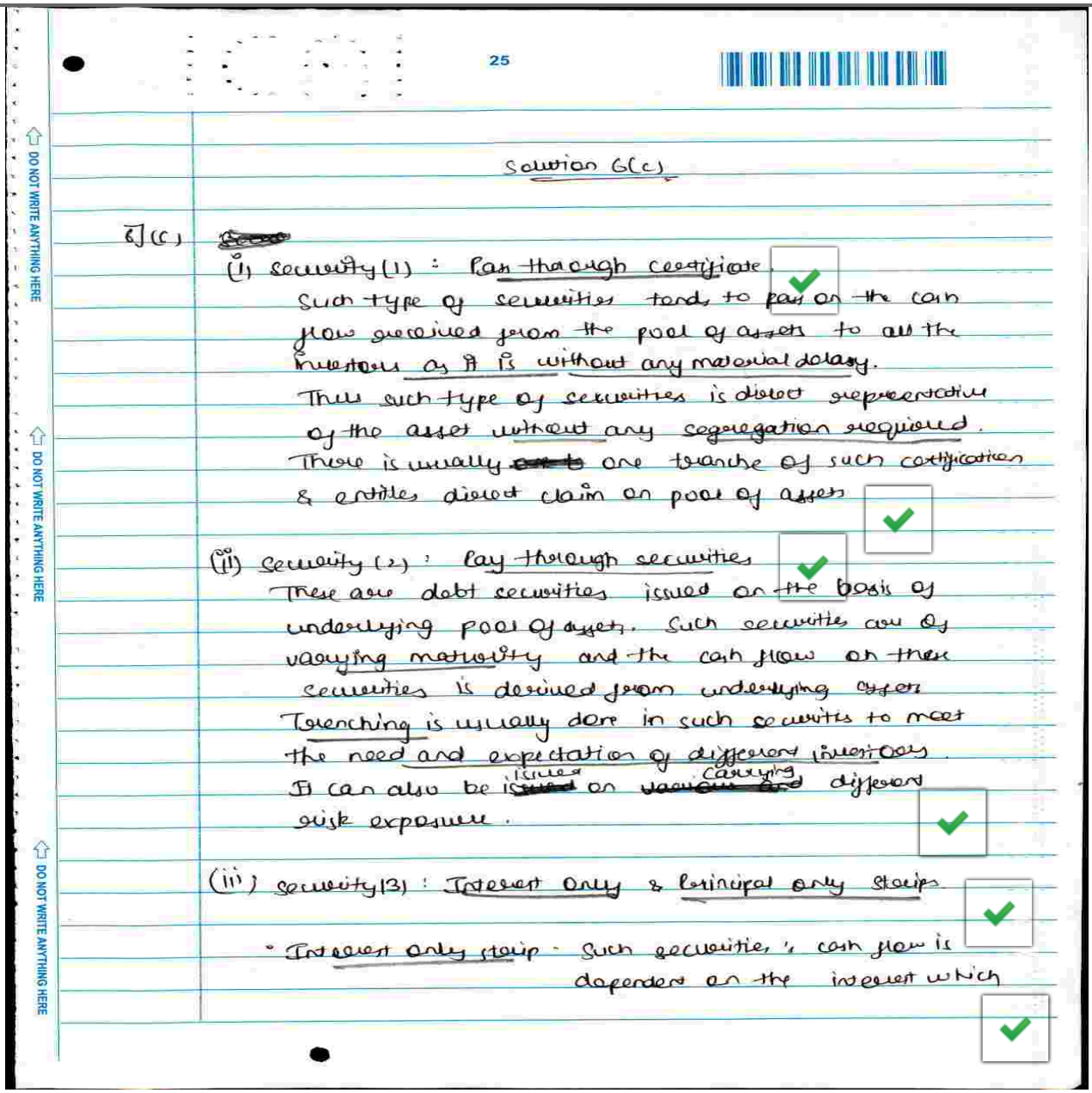
$= ₹ 22.2222$

Thus value of abandonment option is ₹ 22.2222

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6bStep1 4

6b 4



25

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Solution 6(c)

6] (c)

(i) Security (1) : Pass through certificate.
Such type of securities tends to pay on the cash flow received from the pool of assets to all the investors as it is without any material delay.
Thus such type of securities is direct representation of the asset without any segregation required.
There is usually ~~one~~ one tranche of such certification & entitles direct claim on pool of assets

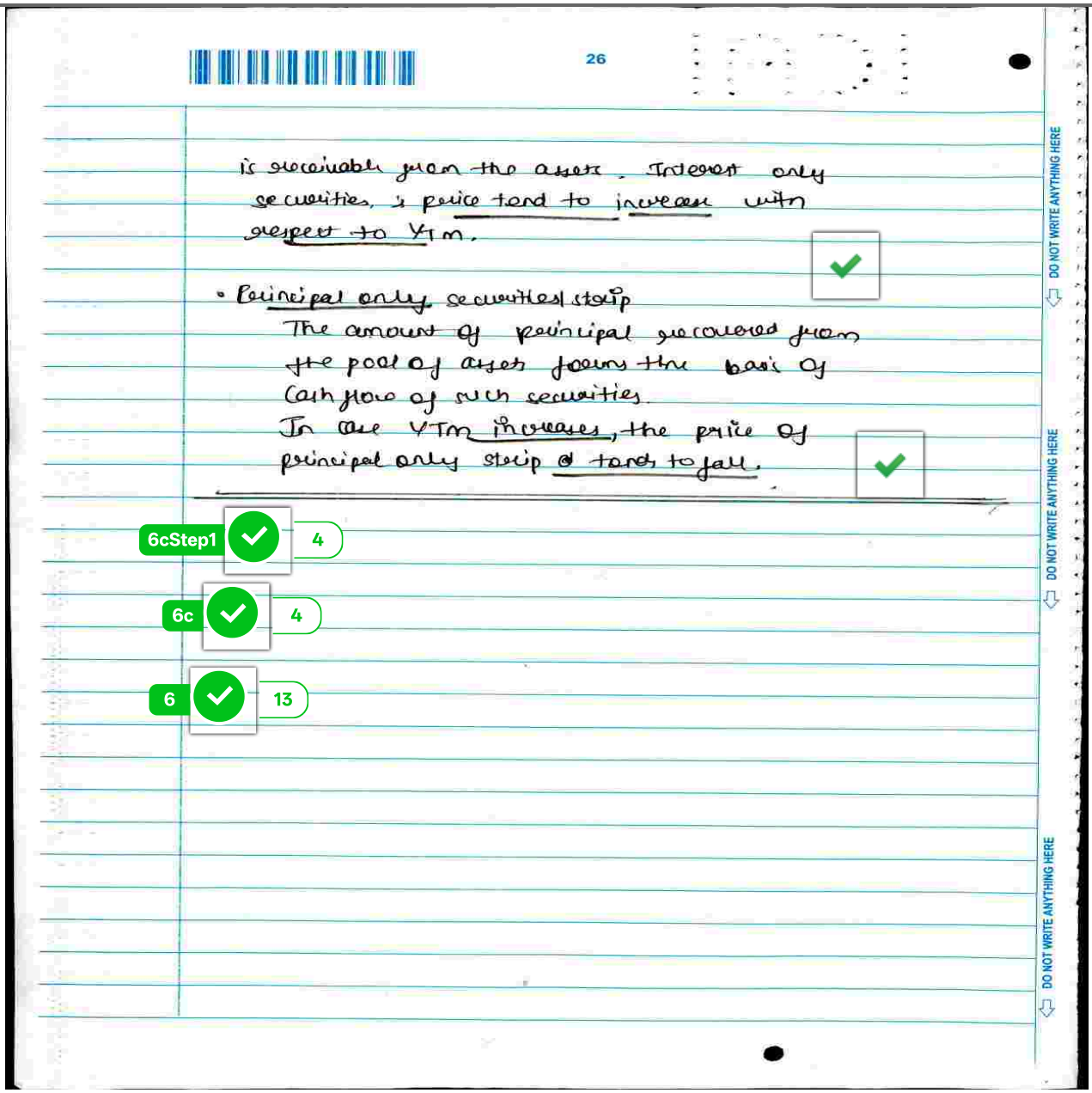
(ii) Security (2) : Pay through securities
These are debt securities issued on the basis of underlying pool of assets. Such securities can of varying maturity and the cash flow on these securities is derived from underlying assets
Tranching is usually done in such securities to meet the need and expectation of different investors.
It can also be issued on carrying different risk exposure.

(iii) Security (3) : Interest Only & Principal Only Strips.

• Interest only strip - Such securities, cash flow is dependent on the interest which

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is receivable from the asset. Interest only securities, is price tend to increase with respect to YTM.

- Principal only securities/ strip
  The amount of principal recovered from the pool of asset forms the basis of cash flow of such securities.
  In case YTM increases, the price of principal only strip @ tend to fall.

6cStep1 4

6c 4

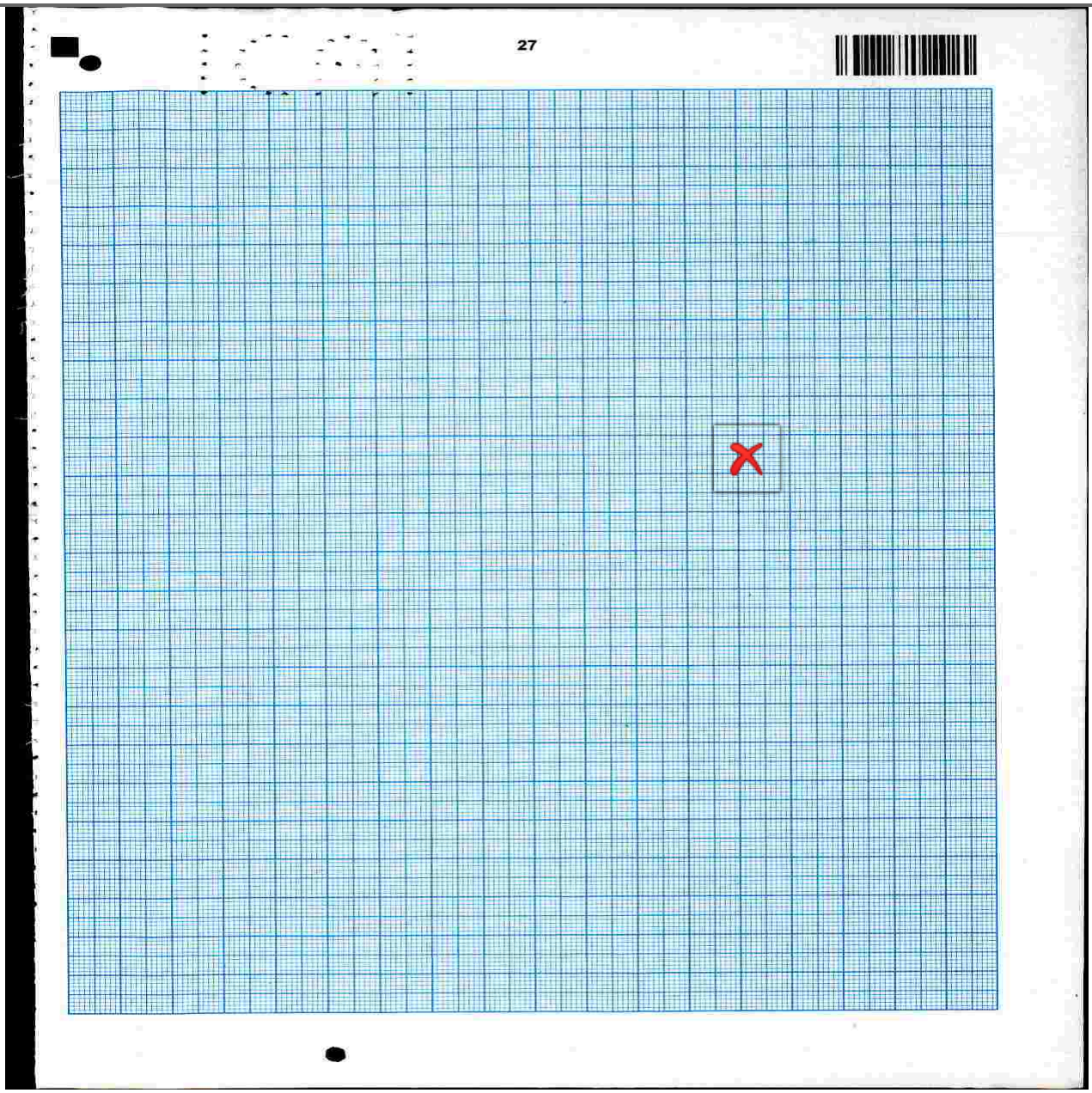
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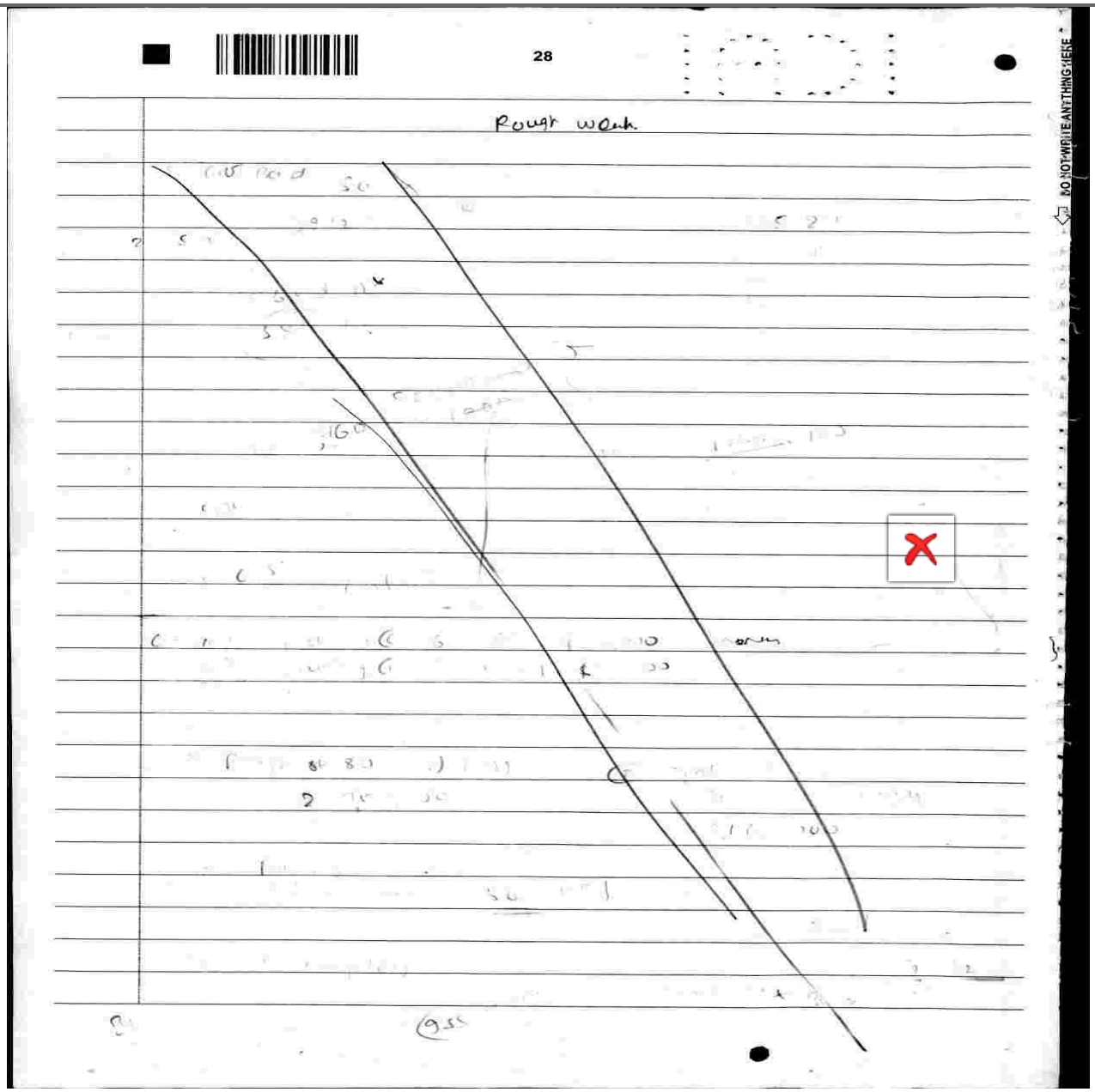
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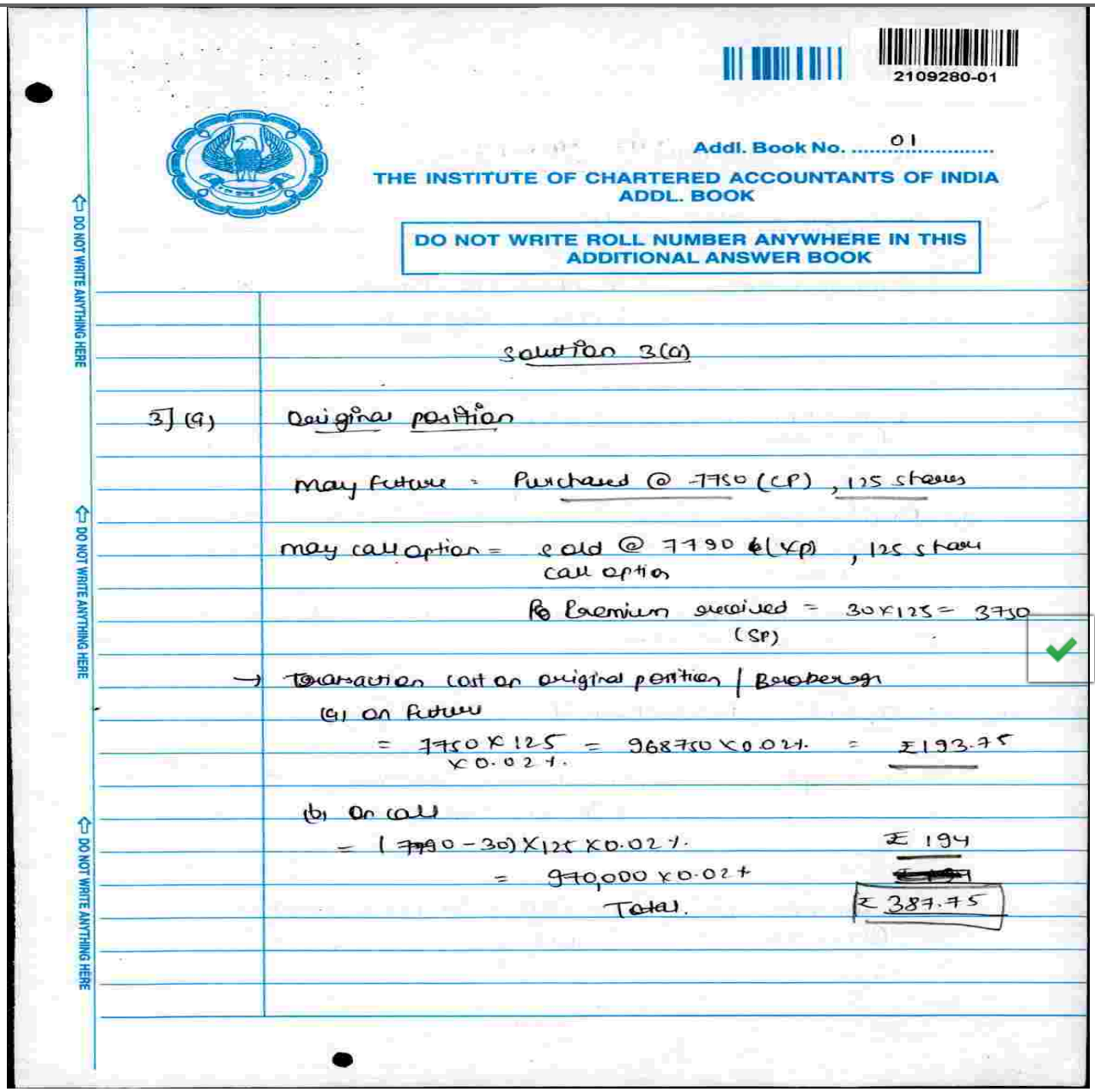
Code: FN2AF109280 Total Marks: 70
Subject : 02 Advanced Financial Management Marks Obtained : 57



# The Institute of Chartered Accountants of India

| | | | |
|---|---|---|---|
| **Code:** | **FN2AF109280** | **Total Marks:** | **70** |
| **Subject :** | **02 Advanced Financial Management** | **Marks Obtained :** | **57** |





2109280-01

Addl. Book No. 01

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
ADDL. BOOK

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Solution 3(a)

3] (a) Original position

may future : Purchased @ 7750 (CP), 125 shares

may call option : Sold @ 7790 (SP), 125 shares
call option

Premium received = 30 × 125 = 3750

→ Transaction cost on original position / Brokerage

(a) on Future

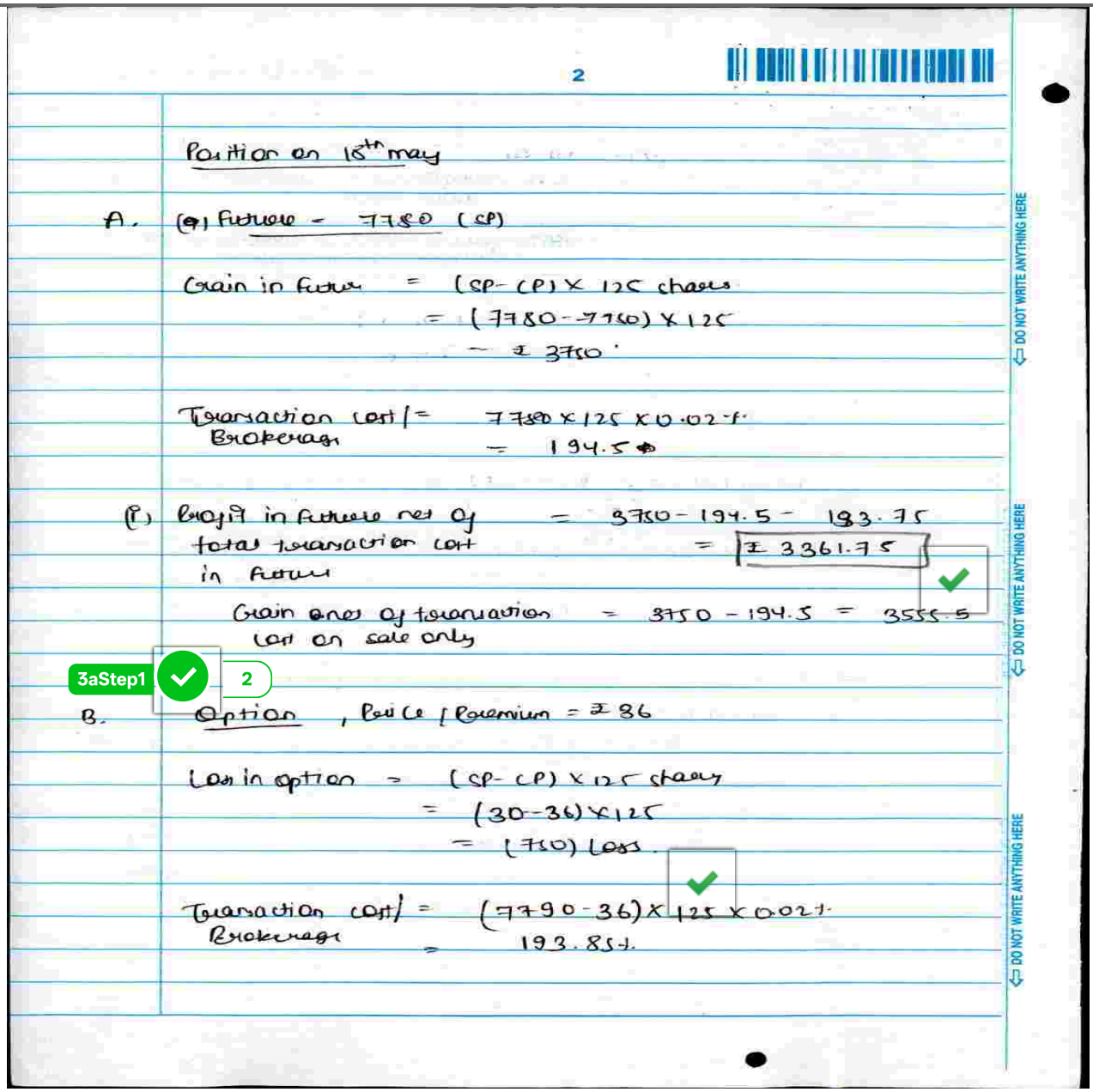
= 7750 × 125 × 0.02% = 968750 × 0.02% = ₹193.75

(b) On call

= (7790 − 30) × 125 × 0.02% ₹ 194

= 970,000 × 0.02% ~~₹197~~

Total. ₹ 387.75



2

Position on 18th may

A. (a) Future - 7780 (SP)

Gain in Future = (SP - CP) × 125 shares
= (7780 - 7760) × 125
= ₹ 3750.

Transaction cost / Brokerage = 7780 × 125 × 0.02%
= 194.5

(b) Profit in Future net of total transaction cost in Future = 3750 - 194.5 - 193.75
= ₹ 3361.75

Gain net of transaction cost on sale only = 3750 - 194.5 = 3555.5

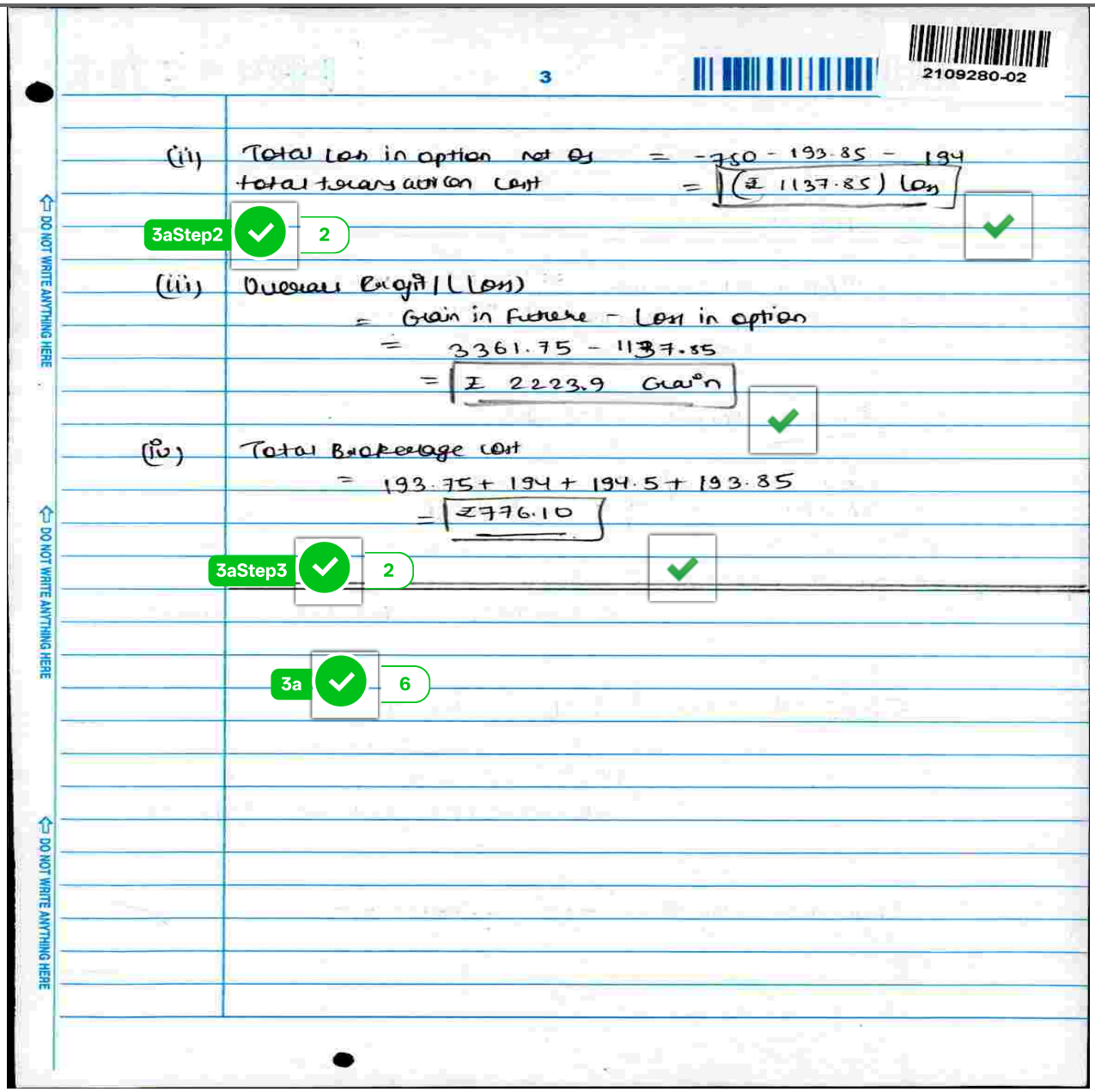
3aStep1 2

B. Option, Price / Premium = ₹ 86

Loss in option = (SP - CP) × 125 shares
= (30 - 36) × 125
= (750) Loss.

Transaction cost / Brokerage = (7790 - 36) × 125 × 0.02%
= 193.85.

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(ii) Total Loss in option not of total transaction cost = -750 - 193.85 - 194
= (₹ 1137.85) Loss

3aStep2 2

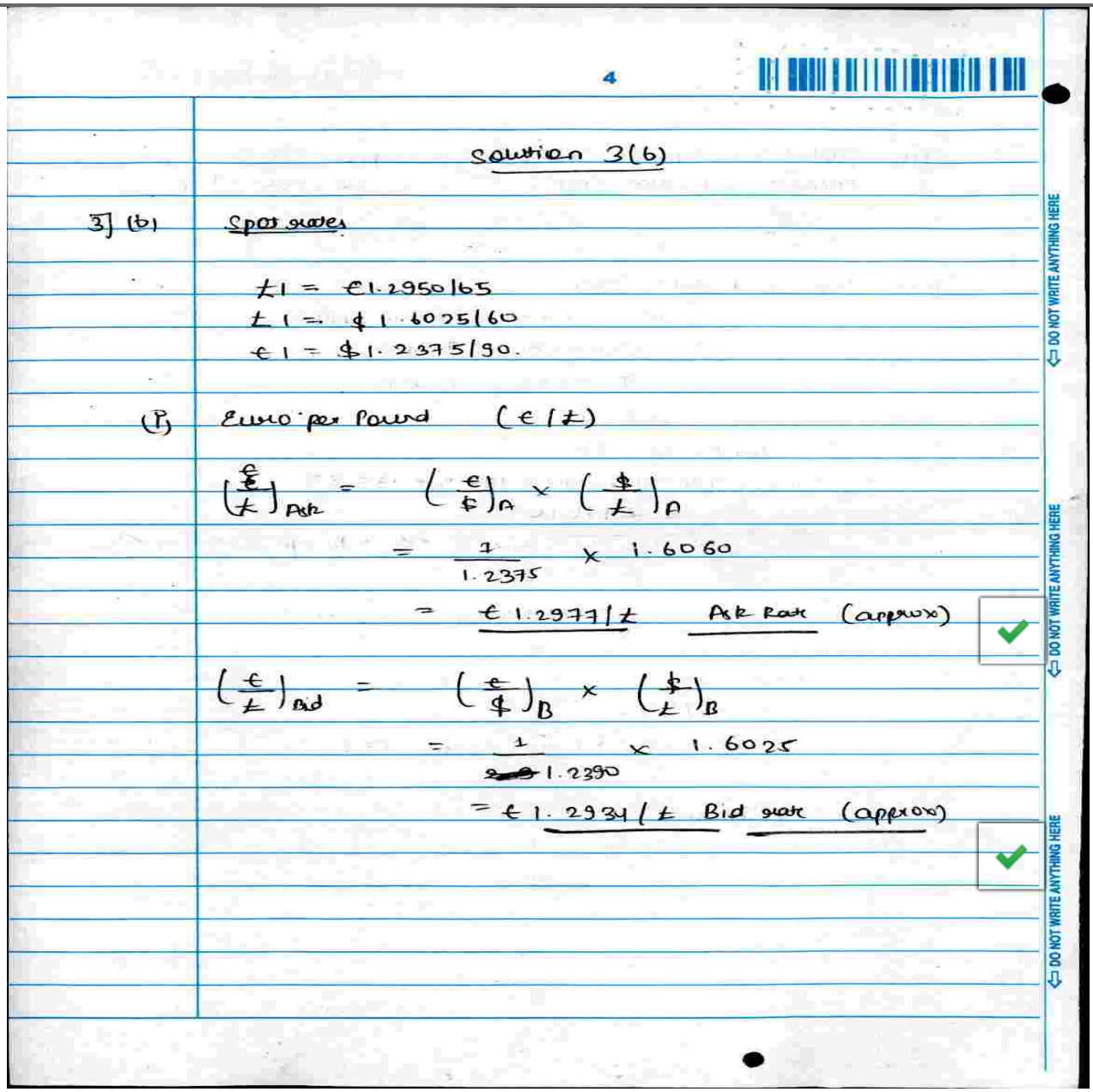
(iii) Overall Profit / (Loss)
= Gain in Future - Loss in option
= 3361.75 - 1137.85
= ₹ 2223.9 Gain

(iv) Total Brokerage cost
= 193.75 + 194 + 194.5 + 193.85
= ₹776.10

3aStep3 2

3a 6

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Solution 3(b)

3] (b) Spot rates

£1 = €1.2950/65
£1 = $1.6025/60
€1 = $1.2375/90.

(i) Euro per Pound (€/£)

$$\left(\frac{€}{£}\right)_{Ask} = \left(\frac{€}{\$}\right)_A \times \left(\frac{\$}{£}\right)_A$$

$$= \frac{1}{1.2375} \times 1.6060$$

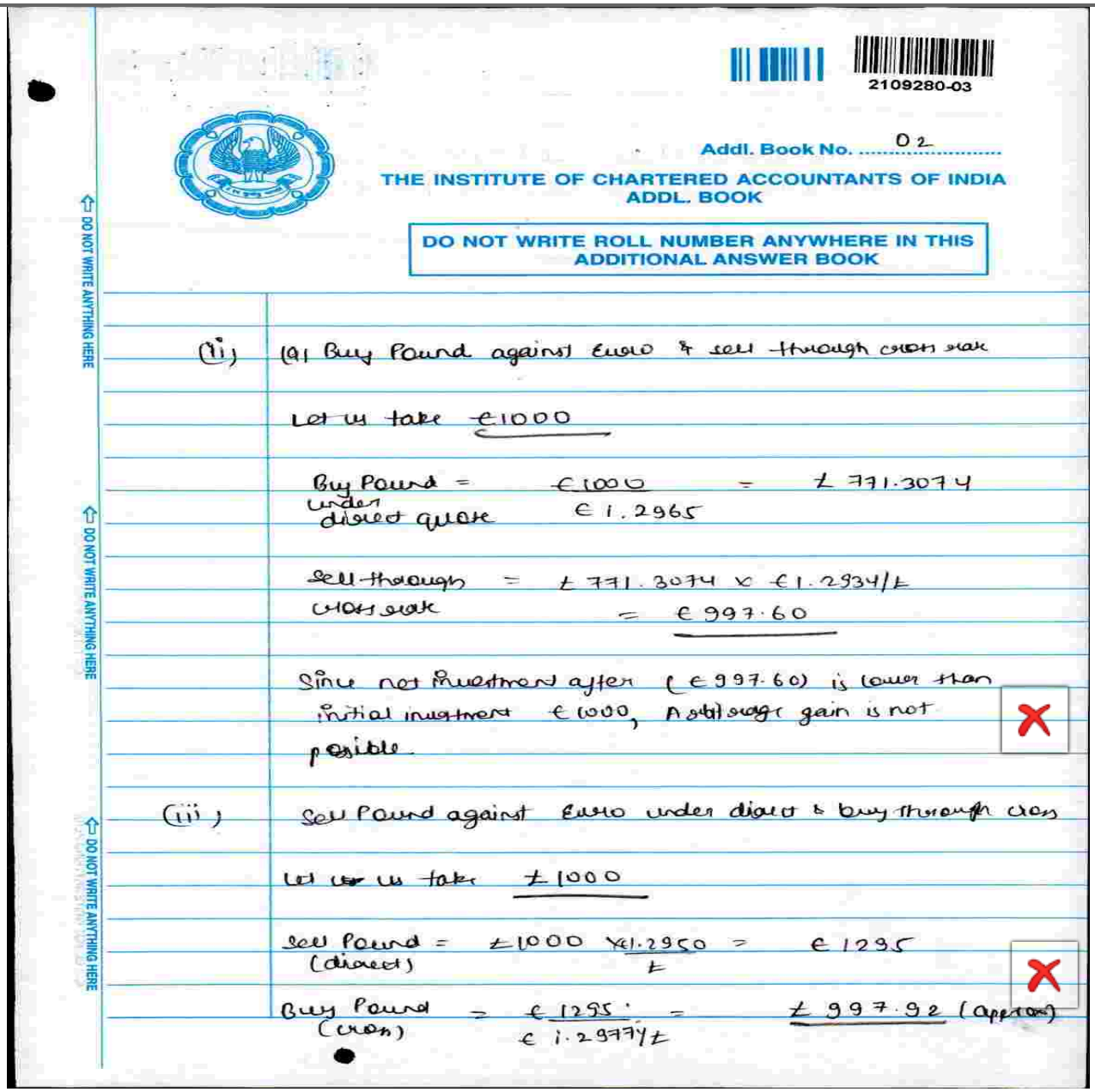
= €1.2977/£ Ask Rate (approx)

$$\left(\frac{€}{£}\right)_{Bid} = \left(\frac{€}{\$}\right)_B \times \left(\frac{\$}{£}\right)_B$$

$$= \frac{1}{1.2390} \times 1.6025$$

= €1.2934/£ Bid rate (approx)

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2109280-03

Addl. Book No. 02

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ADDL. BOOK

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(ii) (a) Buy Pound against Euro & sell through cross rate

Let us take €1000

Buy Pound under direct quote = €1000 / €1.2965 = £771.3074

Sell through cross rate = £771.3074 × €1.2934/£ = €997.60

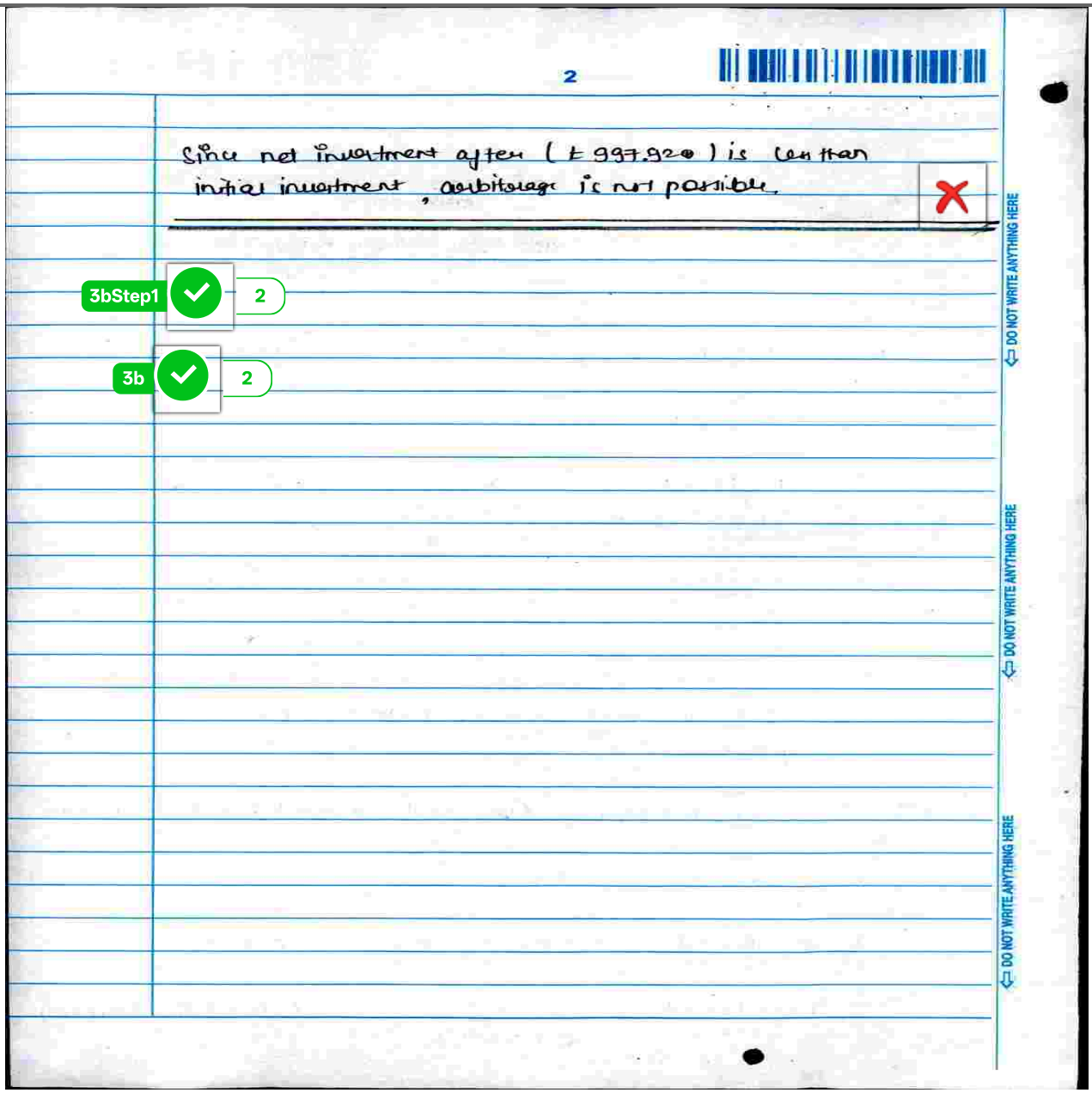
Since net investment after (€997.60) is lower than initial investment €1000, Arbitrage gain is not possible. ✗

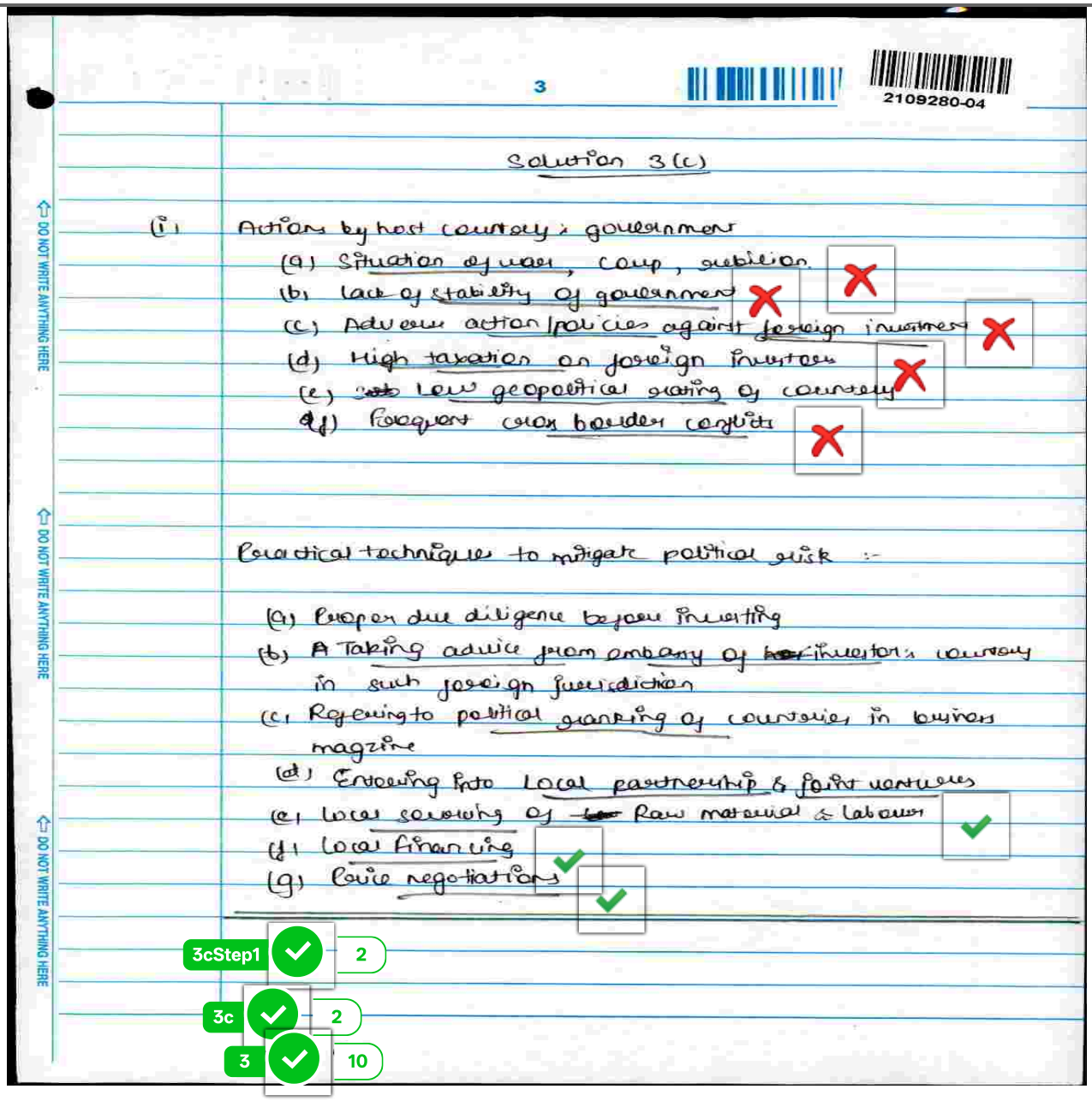
(iii) Sell Pound against Euro under direct & buy through cross

Let us take £1000

Sell Pound (direct) = £1000 × €1.2950/£ = €1295

Buy Pound (cross) = €1295 / €1.2977/£ = £997.92 (Approx) ✗


2
Since net investment after (₹ 997.920) is less than initial investment, arbitrage is not possible.
3bStep1
2
3b
2
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Solution 3(c)

(i) Action by host country : government

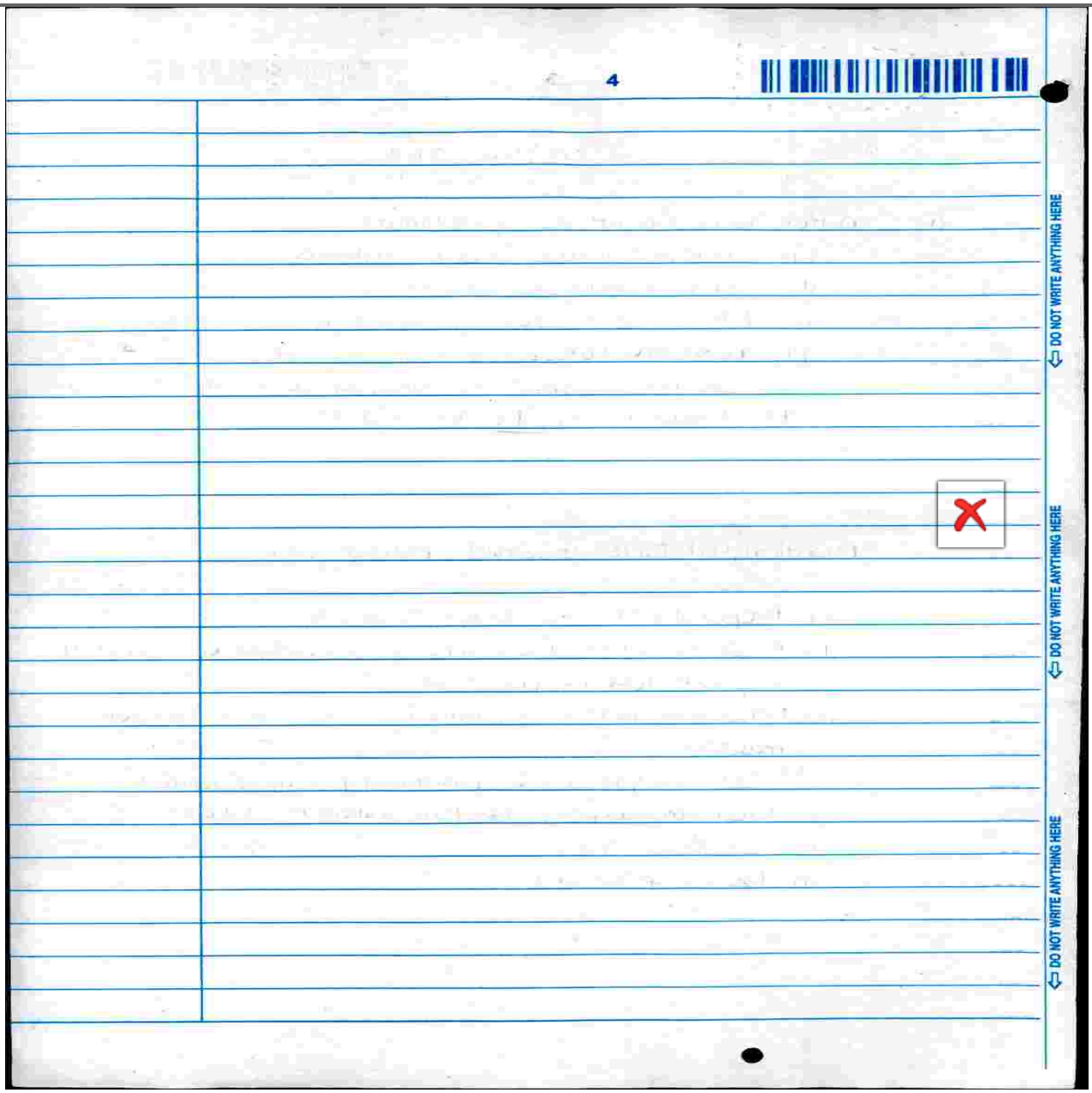
(a) Situation of war, coup, rebellion
(b) Lack of stability of government
(c) Adverse action/policies against foreign investment
(d) High taxation on foreign investors
(e) Low geopolitical standing of country
(f) Frequent cross border conflicts

Practical techniques to mitigate political risk :-

(a) Proper due diligence before investing
(b) Taking advice from embassy of investor's country in such foreign jurisdiction
(c) Reserving to political standing of countries in business magzine
(d) Entering into local partnership & joint ventures
(e) Local sourcing of Raw material & labours
(f) Local financing
(g) Polic negotiations

3cStep1 2
3c 2
3 10

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# The Institute of Chartered Accountants of India

Code: FN2AF109280
Subject : 02 Advanced Financial Management

Total Marks: 70
Marks Obtained : 57

## Result Overview

Awarded Marks: 57

Max Marks:70

NA Not Attempted  O Optional  M Marked

**Q1_Compulsory (Score: 14/14 )**

| Question No | Awarded Marks | Maximum Marks | Status |
|---|---|---|---|
| 1 | 14 | 14 | M |
| 1a | 6 | 6 | M |
| 1b | 4 | 4 | M |
| 1c | 4 | 4 | M |

**Q2_Q6 (Score: 43/56 )**

| Question No | Awarded Marks | Maximum Marks | Status |
|---|---|---|---|
| 2 | 0 | 14 | O |
| 2a | 0 | 6 | O |
| 2b | 0 | 4 | O |
| 2c | 0 | 4 | O |
| 3 | 10 | 14 | M |
| 3a | 6 | 6 | M |
| 3b | 2 | 4 | M |
| 3c | 2 | 4 | M |
| 4 | 6 | 14 | M |
| 4a | 2 | 6 | M |
| 4b | 4 | 4 | M |
| 4c | 0 | 4 | M |

| | | | |
|---|---|---|---|
| 5 | 14 | 14 | M |
| 5a | 8 | 8 | M |
| 5b | 6 | 6 | M |
| 6 | 13 | 14 | M |
| 6a | 5 | 6 | M |
| 6b | 4 | 4 | M |
| 6c | 4 | 4 | M |